

Jai Balaji Inds (JAIBALAJI)

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JAI BALAJI INDUSTRIES LIMITED

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To

The Manager

Listing Department,

National Stock Exchange of India Limited

"EXCHANGE PLAZA", C-I, Block G

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

(Company's Scrip Code: JAIBALAJI)To

The Manager,

Dept, of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalai Street,

Mumbai - 400 001

(Company's Scrip Code: 532976)

Dear Sir/Madam,

Sub: Transcript of the Earnings Con-Call held on 17th January, 2024

With reference to the captioned subject, please find enclosed the transcript of the Earnings Con-call held on January 17, 2024.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Jai Balaji Industries Limited

Ajay Kumar Tantia

Company Secretary

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"Jai Balaji Industries Limited Q3 & 9 Month FY24
Earnings Conference Call"

January 17, 2024

MANAGEMENT : MR. ADITYA JAJODIA – CHAIRMAN AND MANAGING
DIRECTOR, JAI BALAJI INDUSTRIES LIMITED
MR. RAJ KUMAR SHARMA – CHIEF FINANCIAL
OFFICER, JAI BALAJI INDUSTRIES LIMITED
MR. VIJAY KUMAR BAGRI – PRESIDENT (FINANCE),
JAI BALAJI INDUSTRIES LIMITED
MR. AJAY TANTIA – COMPANY SECRETARY , JAI
BALAJI INDUSTRIES LIMITED
MODERATORS : MS. SANA KAPOOR – GOINDIA ADVISORS

Jai Balaji Industries Limited
January 17, 2024

Moderator: Ladies and Gentlemen, Good day and welcome to the Q3 FY24 Earnings Conference Call of Jai Balaji Industries Limited hosted by GoIndia Advisors.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from GoIndia Advisors. Thank you and over to you, Ma'am.

Sana Kapoor: Thank you Michelle. Good afternoon, everybody and welcome to Jai Balaji Industries Limited maiden Earnings Call to discuss the Q3 and 9-month FY24 Results.

We have on the call, Mr. Aditya Jajodia – Chairman and Managing Director, Mr. Raj Kumar Sharma – Chief Financial Officer, Mr. Vijay Kumar Bagri – President Finance and Mr. Ajay Tantia – Company Secretary.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the Company faces.

May I now request Mr. Aditya Jajodia to take us through the Company's "Business Outlook and Financial Highlights" subsequent to which we will open the floor for Q&A.

Thank you and over to you, sir.

Aditya Jajodia: Thank you Sana. A very good afternoon to all of you. We are pleased to welcome you all to our maiden Earning Concall.

As this is our first interaction, I would like to take a few minutes to discuss the journey of Jai Balaji Industries Limited followed by the "Strategic Updates and the Performance Highlights." Our "Investor Presentation" has been uploaded on the exchange and we hope that you have had the opportunity to review it.

Jai Balaji Industries Limited has a long history of 24 years and we have seen many commodity cycles and survive those some with much difficulty also. Over the years we have worked hard to achieve a strong operational efficiency and build a large integrated organization, very much focused on specialized value-added products.

Today, we are one of the largest manufacturers of value-added products specializing in DI pipes and specialized ferroalloys. We have state-of-the-art manufacturing facilities across West Bengal and Chhattisgarh including a 1.1 million ton fully integrated Greenfield steel

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manufacturing facility. The Company is at the forefront of the industry, and we have a very large export base also and are exporting currently to (+40) countries globally.

The Company has fully integrated operations and specialized product portfolio focusing on value-added products like ductile iron pipes and specialized ferroalloys. Ductile iron pipes contribute around 30% of our revenues and we are strategically placed in an industry which is poised for substantial growth. It is expected that the industry will grow at 13% to 15% CAGR in the near future.

These pipes essential for water transportation and drainage systems are witnessing increasing demand due to infrastructure development initiatives such as the Jal Jeevan Mission and mission AMRUT. Jai Balaji is actively contributing to these projects and currently holds around 10% of market share in the DI pipe industry segment in India and we expect to improve our share to around 18% to 20% following our capacity expansion on which we will be talking later.

Consequently, we expect the revenue contribution from ductile iron pipes to increase to 45% to 50% of our group's revenue reflecting our strong strategy focus on this growing market segment. We are also one of the largest producers of specialized ferroalloys in India. The companies specialized ferroalloys command a significant premium over the benchmark prices in the m

arket underlining their high quality and value.

Jai Balaji expects revenues for specialized ferroalloys to increase substantially from the current 20%, 25% to 35%. Furthermore, Jai Balaji Limited has also secured its market position by establishing long term contracts with both Indian and international clients of great repute.

As the Company continues to enhance its capabilities in specialized ferroalloys, it also remains very well poised to capitalize on the increasing demand and maintain its premium position in the market.

Jai Balaji Industries Limited strategically executed a very comprehensive cost cutting strategy aimed at optimizing operational efficiencies. Through meticulous planning, the Company is expanding its capacity with the focus on achieving the lowest cost structures and capitalizing on economies of scale. The establishment of a 6 lakh ton iron ore beneficiation will be utilized for beneficiation of iron ore dumps.

Additionally, the presence of three railway sidings enhances transportation efficiency contributing to the overall cost saving. Furthermore, the utilization of captive power and a dedicated effort to reduce debts reflect the Company's commitment to minimizing energy and interest costs, thereby strengthening our balance sheet.

These strategic initiatives underscore Jai Balaji's dedication to operational excellence and financial prudence, positioning the Company strategically for sustained success in competitive markets. We have faced very tough challenges in the last 10 years which are now resolved

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with the commitment, hard work, faith and resilience of the management, business associates and all its stakeholders.

And I would like to take this opportunity to thank everyone for their continued support. Jai Balaji 2.0 is emerging as a resilient organization with a strong focus on margin expansion for value-added products that is DI pipes and specialized ferroalloys and backed by a very strong balance sheet.

The Company aims to expand its capacity of DI pipes by 175% to 6.6 lakh tons per annum ferroalloys by 46% to 1.9 lakh tons per annum and the Company is strategically targeting a utilization rate of up to 90% emphasizing operational efficiencies. We are also very much focused towards becoming net debt free in the next 18 months.

The CAPEX going forward would be supported by internal accruals. All these efforts would ultimately culminate into margin expansion. JBIL aims for an EBITDA margin in the range of 18% to 20%, reflecting a dedication to maintaining healthy profitability 106 expansion endeavors.

JBIL has a clear significant capacity expansion plan for which around Rs. 10,000 million is the expected CAPEX out of this 3,808 million has already been incurred through internal accruals and the balance is expected to be spent in the next 18 months through internal accruals only. Capacity of DI pipes is expected to increase from 2.4 lakh tons to 6.6 lakh tons. It has already been enhanced to 3 lakh tons a few days back. This is expected to be done in two phases. Specialized ferroalloy capacity is expected to increase to 1.9 lakh tons from 1.3 lakh tons in two phases. 36,000 tons of additional capacity will be commissioned in phase 1 by FY24 and the balance is expected to be commissioned by FY25. The Company has also planned to revamp its existing blast furnaces which would lead to an increased capacity of 7.5 lakh tons of hot metal from the present capacity of 5,00,000 tons.

The Company has also planned to increase the capacity of the center by around 6 lakh tons and are also setting up a 35 tons BFG boiler details of which can be seen on slide 12 of the investor presentation.

Now coming to the financial performance. We are extremely delighted to share that Jai Balaji has delivered its highest ever financial performance in Q3 FY24 and for the 9 months FY24.

During 9 months FY2

4, our revenues are today 45,682 million. The adjusted EBITDA increased by 103% to 6,664 million and EBITDA margins have increased to 15%. PAT also grew by 756% from Rs. 709 million in the 9-month period of FY23 to 6,066 million in the 9 month period of FY24.

In Q3 FY24 the highest ever adjusted EBITDA for the quarter increased to Rs. 2,474 million up by 96% year-over-year. Also, the profit after tax for the quarter increased by a significant 740% to Rs. 2,346 million.

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Now coming to the operational performance. We are very happy to share that we have achieved the highest ever 9 months sales and production numbers for ductile iron pipes. On the other hand, on quarterly basis we saw a decline in sales and production numbers of DI pipes and ferroalloys owing to technical upgradation of one of the blast furnaces along with one LME furnace of DI plant and the revamping of the ferroalloy furnaces.

The same are now almost complete and commissioning is already on and we expect production to increase within the next few days only. Realizations for both DI Pipes and ferroalloys increased on both a quarterly and 9-monthly basis in Q3 FY24 realizations of ferroalloys and DI pipes increased to Rs. 1,76,000 tons and Rs. 80,000 tons up 33% and 18% year-over-year. With this, I would like to conclude my opening remarks and assure you that we at Jai Balaji Industries are very confident that of creating a resilient organization with a strong growth outlook.

We can now open the floor for questions. Thank you so much.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We will take

the first question from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: We have witnessed a great turnaround story sir, and going ahead if you can throw some light or explain the change or strategy in place to sustain the profitability, especially if you can comment on any threshold debt level which you want to operate and also what gives you confidence of achieving EBITDA margins in the range of 18% to 20% so that is the first question?

Aditya Jajodia: I think we will address your query. Coming to the part that what is the sustainable debt which we're looking at. Our debt is currently in the region of only 560 crores. As we mentioned in the opening remarks also the aim and target of the Company will be to be net debt free over the next 18 months.

With the current cash flows of around (+250) crores every quarter there is going to be jumps in the improvement of EBITDA margin going forward as the CAPEX plan unrolls, but even if you maintain the present margins and the present EBITDA also with the present CAPEX plans and with the current repayment plans, we'll be in a very comfortable position to be net debt free over the next 18 months.

The Company does not envisage raising any term loans of any sort to finance its CAPEX plans and it will be done entirely through internal approvals. So, the strategy on debt will be to be net debt free and then coming to the second part of your question as to what gives us confidence and how we will be increasing our EBITDA margins, I'll just go back to a few quarters ago.

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Just to go into the history of the Company around two years ago our sale of value-added products in the entire revenue basket was only 30% with the initiatives which you have taken over the last two years it is now around 50%, 55%.

Going forward, it is going to be over the next 18 months it is going to be 25%. When the revenue share of the value-added products was only 30% two years ago, our EBITDA margins were in the region of 7%, 8% only with announcement from 30% to 50%, 55% we have these 15. And as you go forward towards 80% it will be moving towards 18% to 20%.

Along with value and products what we also mention

ed was that we are also going for cost

cutting measures. So, with cost-cutting measures what we mean is that if economies of scale will come into play, new technologies will be put into use whereby the other cost of raw material etcetera also will come down.

So, all the cost-cutting measures will be in place. So, this particular margin what we're looking at, we are very confident that we will be able to achieve these margins.

Aditya Welekar: Next one is if you can throw some light on production sales volume guidance for FY24 also on EBITDA or PAT guidance?

Raj Kumar Sharma: In PAT guidance in 3rd Quarter, we have produced 61,000 tons as compared to 64,000 in Q3 FY23. Pig iron because one of the blast furnaces was under modernization. The production number in this current quarter was 93,000 as against 1,25,000, billet we had slight increase 42,000 as against 40,000.

TMT there was a very good performance of 71,000 as against 59,000 in Q3 FY23. Ferroalloy we maintained the same run rate 27,000 as against 27,000 in Q3 FY23. The ductile iron pipe was 49,000 as against 58,000.

As far as realizations are concerned, sponge iron was 29,215 as against 32,819. Pig iron was 37,511 as against 41,252. Billet was 41,947 as against 44,842. TMT the realization was 46,211 against 50,850 ferroalloys because we have shifted to specialized grade of ferroalloys approximately 30% of our ferroalloy is now specialized grade. The realization has jumped from 1,32,000 now it is 1,76,165.

Ductile iron pipe was 80,000 against 68,000 and as far as guidance is concerned for the future, I'll hand over Aditya ji.

Aditya Jajodia: So, what Sharmaji has just told you all for the guidance for the future the guidance for the future is that as you are ramping up the capacities means we are looking at the capacity of approximately is the guidance for FY24 will be around 3 lakh tons of ductile iron pipes.

Raj Kumar Sharma: So, with regard to the guidance just on the number side we can say that we are expecting to achieve more than 20% of turnover in the last quarter with the additional capacities being put

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up in place and similarly the bottom line should also increase. On the guidance, we don't want to comment much on the numbers.

Moderator: Thank you. The next question is from the line of Vikash Singh from PhillipCapital. Please go ahead.

Vikash Singh: Sir my first question pertains to the capacity addition in DI pipes, so we are in an Eastern region where almost every other player is also increasing capacity significantly. So, do we feel that there would be a situation when the competitive intensity could be very high and in fact contrary to your expectation of a higher margin we will end up getting a lower margin for a certain period of time?

Aditya Jajodia: So, this is one debate which we always have before we put up any expansion plan. See first of all whether the manufactures are in Eastern India or in Western India that is not the important part because the market it is absolutely Pan India. Our Company supplies from Jammu Kashmir to Kerala and from Gujarat to the Northeastern states also.

So, the question of being in Eastern India, Western India will not arise because the execution of orders is Pan India number one. Number two coming to the more important question is that the other players are also adding capacities so how the margins will pan out. So, on this front I will just explain to you a couple of things.

Here we have a dual pronged strategy. Number one, amongst the peers we will be one of the lowest cost producers which will ensure sustainable margins and as far as the demand is concerned the demand for these pipes are very, very huge for us and over the next 5 years to 10 years, 15 years and as of now as we see it the demand for this price will remain very robust for three, four reasons this I will explain.

1. Number one the govt

rnment is already on a mission to complete the Jal Jeevan

Mission program where they have a program for connecting every household where the scheme is called Nal Se Jal other than this the AMRUT scheme is also being implemented. The advantage with these pipes as when we compare to the conventional materials of say steel pipes or PVC pipes, or if you compared to the cement pipes that you see on the roads is that number one is that these pipes have a long-life number one.

2. Number two, there is no leakage of water, which currently is a very valuable resource in every country and as you go forward this will become more and more valuable.

3. Number three, which is extremely important again, is that with these pipes there is no question of contamination or arsenic poisoning.

4. So as you go forward and as the nation grows the demand for these pipes will always keep on increasing.

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So, as of now in the foreseeable future we are envisaging that the demand will be robust and the margin should not get squeezed rather it will be increasing only.

Vikash Singh: Sir my second question pertains to our near-term margin, can you tell us what percentage of your DI pipe orders are on a fixed price basis since the iron ore and coking coal are on an upward trajectory, how does we see the near-term margin basically the 4Q and 1Q FY25?

Aditya Jajodia: Around 30% to 35% of the prices are on a fixed price basis, but even when we say fixed price most of these contracts they are actually on a WPA index base where if the prices of the raw materials go off or rather pig irons go up then automatically the prices will get adjusted and if the prices come down the prices will get again readjusted on the lower side. So, by and large our margins are well secured and covered.

Vikash Singh: Sir, one more question regarding our CAPEX plan and the debt free plan basically we have more than 500 crores, 560 crores of debt and a pending CAPEX of over 600 crores and with this kind of increased capacity you would require the working capital and there's a lag effect of also is adding up. So, just wanted to understand when you're giving a guidance of 18 month of debt free what kind of assumptions you are making in your estimates because it seems a little bit optimistic to me at this point of time?

Vijay Bagri: Just to update you that in the current fiscal in the 9 months period we have generated around 700 crores of EBITDA, and we are expecting the full year EBITDA to be more than what we have done in the last quarter and going forward with the CAPEX which has already been taken place because we have already spent 380 odd crores till now and in the next quarter around 100 crores more will be spent.

So, these already 500 crores of CAPEX will generate additional cash flow and will add more values to the Company in the coming quarter. So, we are confident in servicing the debt and becoming the net debt free.

Now second thing, one more important thing is that the term loan which the Company has recently got from Tata financial we have a repayment term of 36 odd months which has already started, and we have started making the payments also. So, we have time for three years to repay the loan, but with the current accruals and with the current profitability of the Company we expect to meet the debt in the next 18 months also.

However, you can say that we have shown it as an accelerated thing, but with the profitability coming up in the near future we will definitely make it net debt free in the next 18 months.

Aditya Jajodia: I will just add one more thing to what Mr. Bagri has said even if we take a ballpark figure of the EBITDA which we have achieved in the last three quarters, and we do not add the forthcoming incremental revenue or in incremental EBITDA which is going to jump obviously.

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But even if you take that then by the ballpark figure we have done 250 crores on average for the last three quarters. When we are talking about the forthcoming 6 quarters it means 1,500 crores though top line and bottom line it will be increasing exponentially, but even if we assume the worst with 1,500 crores with 600 crores of CAPEX pending and with 500 crores of debt pending it is 1,150 crores means the balance money can easily go into the working capital.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha: Sir my query was that in terms of DI pipes your capacities are increasing by almost 3x, so how much of that are you planning to export?

Raj Kumar Sharma: The DI pipe presently we are exporting around 2% of our turnover and going future definitely we will be achieving the same to around 10% in the next 24 months.

Radha: 2% to 10% in the next 24 months, so that clearly states that the global demand of DI pipes seems to be very strong. So, could you give us any insights on what is the total global demand or the export market size of DI pipes and which are the countries where we are exporting primarily and whether we are also exporting to the Middle East region and who are the large players in the export market whom we are competing with?

Raj Kumar Sharma: With regard to present exports, we are only exporting to Middle East countries only. We have just now tapped the African market. We have already participated in a last tender in African country for which we have already formed a subsidiary in Uganda and with this subsidiary we are trying to tap the African market where we see a very good demand in the near future because there are certain external funds also which have already tied up with the African nations for betterment of their living with regard to supply of water for transportation.

Radha: Sir, any insights on what kind of market size would we have in terms of exports for the DI pipe?

Aditya Jajodia: The market size is very large in fact what is happening today is that because today because of the Jal Jeevan Mission Scheme and because of the focus of the government to implement it at the fastest currently also there is a very large market, but what is happening is that because of the huge demand in the local country itself.

So, the first priority is that in the interest of the local infrastructure and in the interest of nation building, the first priority for all the manufacturers will be to sell first to the country and then export. The demand is very large. So, whatever capacities are coming up whatever expansion is happening though local is not getting meet, but export we will be doing 10% and the demand potential is not only from African countries and Middle East, but the demand potential is also from the replacement markets in Europe and America, etc., also.

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In fact, I'm not taking names, but one of the largest DI pipes manufacturers in the country, we are currently exporting 30% of the production on a consistent basis and their production currently it is 3 times our production. I think that will answer your question.

Radha: Sir, Europe I understand you please correct me if I'm wrong. Europe has an anti-dumping duty on import of DI pipes. So, would we be able if you're targeting Europe market our sales would be competitive with respect to the manufacturers that are there in Europe?

Aditya Jajodia: See our primary markets will be since DI pipe is a voluminous product our first targets will be the countries which are nearer to India that is the Middle East countries where there is a shortage of water and where all these infrastructures work it is being rolled out.

Secondly, the target market will be at the African countries where again there is a huge shortage of infrastructure and the funds were short, but now funds are pouring in from t

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multinational agencies.

The third market will be Europe, though there is anti-dumping duty, but Europe is also now imposing a carbon tax and our Company will be very, very well poised to encash this particular tax in a manner that this tax will work to our favor because our most of the pipes which will be producing our ESG footprint and our carbon footprint it will be one of the lowest

in the industry and we are very confident that this particular duties they may work in our favor on the contrary.

As far as the anti-dumping duty is concerned anti-dumping duty is definitely there, but in spite of that they have strict approval processes and the companies which are approved they are able to, all these exports are as part of the duty they are just arrival from India already one of the largest manufacturers of pipe in the country they are already exporting to Europe as you will see from their data.

Radha: Sir, you said that the domestic demand is pretty strong, and I understand that AMRUT and Jal Jeevan are the two key sectors driving their demand, but other than that there is also increasing demand from pipe irrigation, so any sense in terms of what kind of demand we are expecting from this pipe irrigation in terms of volumes, could you give us any numbers on this?

Aditya Jajodia: See the projections are very, very large. If I give I mean these projections are so large that when we are saying that the market will grow by 13% to 15% CAGR. In the past 10 years we have seen that the market has grown by more than 20% actually the demand has grown.

So, what we have taken in our projections is that the demand will grow by 13% to 15%, but the past trend has shown that it has been 18% to 20%, 25% also in some years. In irrigation also madam so far what is happening is that so far in irrigation by India when we are doing in case if you go inside the villages what we see is that irrigation it is normally the canals which are there which is open to the sky.

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So, most of the irrigation is done by canals where there is a huge evaporation loss also. As the country progresses, as the demand for water increases, as the demand for other things increases, naturally the water is also a very, very valuable resource. So, there are already schemes in the government pipeline which will be implemented very soon, hopefully maybe after some next year it will be implemented in one or two years.

We are looking forward to a particular situation where there will be a scheme where all these irrigation canals will also be replaced by pipe water because land and water both are being used up.

Radha: Are we expecting any kind of schemes to be launched by government for this pipe irrigation system as well?

Aditya Jajodia: Yes madam absolutely we are looking at that also.

Moderator: Thank you. We'll take the next question from Vikash Singh from PhilipCapital as his line had got disconnected earlier, please go ahead.

Vikash Singh: Sir, just wanted to understand that tax benefits which are available to us. So, till what profits we don't have to give any taxes?

Raj Kumar Sharma: The carry forward loss of approximately 1,700 crores out of which the current year's profit will go out and then probably 18 months from here we are tax free.

Moderator: Thank you. The next question is from the line of Manav Gogia from Yes Securities Limited. Please go ahead.

Manav Gogia: So, my first question comes on the cost saving side the setting up of this iron ore beneficiation plant the 6 lakh tons how much of savings do we see out over there on the per ton basis that you could let me know. Also, the railway sidings that you mentioned on the logistics front, can you just give me a brief explanation on what sort of incremental savings you get from the railway sidings as compared to using the road transport?

Aditya Jajodia: See when you talk about the railway sidi

ngs. There are three railway sidings. Two are at the plant locations inside the plant practically, and one is in the iron ore belt of Barbil means in Odisha from where the iron ore is loaded.

Now you all must be well aware is that to make one ton of steel more than 3 tons of raw material is required and iron ore means it constitutes the major bulk of the movement. The current situation is that for the last many years means the railway is the cheapest mode of transport, and even in the forthcoming years this is going to be the cheapest mode of transport in India, but unfortunately there is a huge shortage of racks due to which many of the peer companies have to move their material by rail also and by road also which is much costlier.

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So, due to the virtue of the railway sidings what happens is that our raw material movement of iron ore it is being done entirely by railways, which is the cheapest mode. So, not only does it reduce the cost when you compare the cost to the peers, it also eases the movement of the traffic so this is one part.

Also, what happens is that when the traffic is moved from the road there is a lot of pilferage

etcetera also when you move it by the railways the pilferage is practically nil. So, as these advantages are always there. When you talk about the iron ore beneficiation how it helps is that India has a huge deposit of low grades of iron ore which are currently being exported and the usage is not being done in the country.

So, what we aim is that we will take advantage of these low grades of ore, utilize them internally inside the country itself by beneficiating it so that there is a cost advantage to the blast furnaces and to the other links also.

Manav Gogia: I mean like could you provide me some numbers on the same if you could like any incremental savings that you see from these plans especially like on a per ton basis if you have modeled it out?

Aditya Jajodia: See railway siding we always consider as a very integral part of the I will say of the entire plant. So, if you have to evaluate the advantage it will be around Rs. 400 to Rs. 500 per ton on per ton of movement of the iron ore. So, this translates into how much?

Manav Gogia: It's roughly Rs. 200 to Rs. 300 per ton right.

Aditya Jajodia: Yes approximately the advantage will be Rs. 400 to Rs. 500 per ton for iron ore movement and in terms of beneficiation also the cost will reduce by around Rs. 400 to Rs. 500 per ton for iron ore. So, overall, when you talk it is around Rs. 1,000 per ton of advantage due to railway siding and beneficiation.

Manav Gogia: Sir, my other question is if you could just throw some light on who your top three or top five clients are in this DI pipes in the ferroalloy segment and what percentage of the total revenues do these clients contribute to?

Aditya Jajodia: In Ductile iron pipes the major customers currently, they are the Haryana state government. It is Maharashtra that is MGP and also Jammu and Kashmir these are the major states and in the private sector it is Megha engineering NCC Kalpataru JMC projects. So, these are the major customers in private space and the government space as far as the DI pipe industry is concerned.

And as far as the ferro industry is concerned in India all the large players who are making these products, they are the buyers as well as internationally means out of 40 countries, the countries are spanning from Japan to America across the globe wherever these producers are there. So, we have long term contracts with many of them.

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Moderator: Thank you. The next question is from the line of Aman J from Arihant Capital. Please go ahead.

Aman J: So, sir just wanted to understand the EBITDA per ton that we are doing for TMT DI pipes and ferroalloys, and if you could give the breakup of what is our supply

to distributors and what is our supply to the projects that we do directly?

Raj Kumar Sharma: Just to update you that with regard to distributor sales presently some part of TMT bars is only supplied through distributors. Our major segment in ferroalloys as well as the DIP are either intermediates or government or directly in projects which are being done on a EPC basis by the contractors.

Now with regard to your per ton EBITDA just to say that on the metallic front say TMT bars or intermediates the EBITDA is much lower is approximately 6% to 7% only, whereas we are having a higher EBITDA in ferroalloys as well as in DIP which ranges somewhere between 17% to 18% as of now.

Aman J: Sir to give the EBITDA per ton that we do?

Raj Kumar Sharma: The breakup of per ton of EBITDA if required we will send you separately. You send us the requirements and we will share you EBITDA per ton also.

Aman J: So, sir my next question is I saw that the ferroalloys production and sales have been flat as compared to the year-on-year the last quarter. So, I just wanted to understand if there is no demand, or we have reached the maximum capacity utilizations?

Raj Kumar Sharma: Our MD has already given in the opening remarks that two of our furnaces were there under maintenance in the last quarter. So, you will see a much better improved performance in the next quarter only. There is no question of demand we have large orders in hand. So, due to the maintenance the supply could not happen in this last quarter, and it will be taken care of in the next quarter.

Aman J: And sir my last question is what are the capacity expansion plans for FY26 especially for the ferroalloys and DI pipes and what will be the capacity utilization at that time?

Raj Kumar Sharma: The ferroalloy capacity at present is 1,30,000 and it will increase by around 50,000 in the next 12 months only and we expect the utilization to be around 75% on a year basis on a full year basis in 25.

With regard to DI pipe already we have enhanced the capacity by 60,000 tons a few days ago and we are expecting it to increase to 3,60,000 by FY24 and in the next 12 months the first

phase of expansion of around 2,00,000 tons will be in place. So, for the first full year of 25-26 you are expecting around 90% utilization with the capacity of around 6,00,000 tons.
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Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: First just a clarification you mentioned somewhere the 4th Quarter you're looking at 20% growth in revenue on a YoY basis, is that right?

Raj Kumar Sharma: On a quarter-on-quarter basis.

Deepak Poddar: On a quarter-on-quarter I mean 4th Quarter versus 3rd Quarter, correct?

Raj Kumar Sharma: Yes.

Deepak Poddar: I mean post this expansion that you have been speaking about in the DI pipes as well as in ferroalloys which is expected to get commissioned fully by FY25, so what can be our maximum revenue potential at about 90% or 95% optimum capacity utilization?

Raj Kumar Sharma: We are expecting a full year revenue in FY26 to around 9,500 to 10,000 crores on current prices basis.

Deepak Poddar: Yes absolutely assuming the stable realization?

Raj Kumar Sharma: Yes.

Deepak Poddar: And when you say that we are looking at EBITDA margin in the range of 18% to 20% that is on the basis that we will reach the optimum capacity utilization of your expanded capacity?

Raj Kumar Sharma: It will increase on QoQ basis, you will see the numbers on QoQ basis as and when actually we have whatever capacity expansion is being done is done on modular basis. So, with every passing quarter there will be some percentage hike which we are forcing looking into the current price scenario.

Deepak Poddar: And this threshold or this range we might look at to achieve I mean by FY25 itself, right?

Raj Kumar Sharma:

FY26.

Deepak Poddar: FY26 this is the range that you might be looking at?

Raj Kumar Sharma: Yes.

Deepak Poddar: And the last query is on your order book I mean do we maintain any kind of order book I mean if as such how much would that be right now?

Raj Kumar Sharma: We are maintaining order book for DIP as well as for ferroalloys. So, the DIP order book presently will be somewhere in the region of 1,800 to 2,000 crores and for ferroalloys it is around 400 crores.

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Deepak Poddar: It is about 400 crores?

Raj Kumar Sharma: Fair enough.

Moderator: Thank you. The next question is from the line of Rajesh Vora from Jainmay Ventures. Please go ahead.

Rajesh Vora: In fact, I would want to know what are the key factors that dramatically change profitability in the 3rd Quarter and the 9 months of the year vis-a-vis a year ago. The obvious ones are obviously capacity utilization, revenue mix, value-added products and average selling price and the raw material.

So, could you give us in these four factors what are the exact drivers of this change and what are these and is all of this four going to sustain over the next year or two? What are your thoughts on this that will be very useful?

Raj Kumar Sharma: The realization in ductile had increased approximately Rs. 10,000 per ton and the amount of value-added specialized ferroalloys that we are producing that percentage has gone up because of addition of the new submerged arc furnaces.

And what happened is that we have apart from selling from we used to sell it through dealers, the export market. Now we have started catering directly to them and the export percentages have gone up for ferroalloys where the realization is very high. These have contributed.

Apart from that, the blast furnace is coming up which is going to reduce the cost of hot metal, center capacity has been increased which has reduced the cost of iron ore. There were other synchronizations which have been done which have contributed to this much.

Rajesh Vora: And will you have any idea about I mean it's very tough, but current prices of all your products are we at what stage of cycle commodity cycle are we and what sort of your intelligent estimate is nobody knows how they will behave, but broadly how do you see them behaving over the next couple of years, or at least next one year?

Raj Kumar Sharma: What you will see from our numbers is that more of ductile and ferroalloy capacity meaning our production has shifted from sponge, pig, billet, TMT and more towards ductile iron pipe

and ferroalloys.

So, we are not much affected by commodity prices. If you will also see the prices for sponge, pig, and this TMT has come down by 1,000, 2,000 if we compare by Q3 of 23. The prices have softened, but you will also see that the ferroalloy prices have jumped from 1,40,000 to 1,70,000 it is because and this what I'm telling is 1,70,000 is blended realization of normal ferroalloys and specialized ferroalloy.

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This percentage of increase of specialized ferroalloys has resulted in increase of per ton sales sale rate from 140 to 170 similarly because of demand of ductile in India it has increased from 70,000 to 80,000 somewhere 80,000. So, what has happened commodity prices have come down, but value-added products in which we are moving and expanding also that has gone up.

Rajesh Vora: The 9,500 to 10,000 crore revenue you mentioned was only for ductile pipes or the whole Company as such?

Raj Kumar Sharma: Company as a whole.

Rajesh Vora: Of which ductile and ferroalloys which is your main value-added product as you mentioned they would contribute how much of 75%, 80%?

Raj Kumar Sharma: Around 80%.

Aditya Jajodia: One more thing we would like to add over here is that the entire aim over the last two years, three years and going forward it

is to entirely de-commoditize their business. The Company

started as a sponge iron manufacturer. The original name was Jai Balaji Sponge Limited 24 years ago.

So, we started like that, but from a sponge iron producer, from a pig iron producer, from a commodity producer the entire focus has been to now entirely de-commoditize the steel business and to go into value-added products. So, this is the major theme of Jai Balaji today.

Moderator: Thank you. The next question is from the line of Shubham Bapurao Thorat from PCAPL.

Please go ahead.

Shubham Bapurao Thorat: Sir, couple of questions from my side. I just wanted to know what is current exports as a percentage of revenue for us and is there any margin differentials for domestic sales versus exports?

Raj Kumar Sharma: As we mentioned earlier, previously the exports were made through the traders. So, in the past couple of years the exports have increased substantially. However, the exports for ferroalloys is the major driving factor for us.

Presently out of the entire ferroalloys category we are exporting more than 40% and by this year-end we are trying to achieve 50% because presently all the orders are executed in export category only.

Now on the overall side, the export is not very large if you compare by the turnover say in the past 9 months we have achieved a turnover of around 4,600 odd crores wherein the export contribution is roughly around 10%.

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Shubham Bapurao Thorat: What will be your I mean raw materials with respect to current product mix and if you can comment on what are the costing situation currently for those raw materials and what would be the I mean how could it behave in the coming near-term future?

Raj Kumar Sharma: I think with regard to this query I think if you can directly send us the requirement we will send you a separate sheet with the detail working.

Aditya Jajodia: The raw materials are coking coal, iron ore and chrome.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha: Sir what I was asking previously was that you mentioned in the opening remarks that we are one of the lowest cost producers. So, if you're referring to the because of the backward integration that we have in sinter, coke oven and power.

So, what I understand is all the other players, including the largest player that you were referring to also have all the backward integration. So, what makes us say that we are the lowest cost producer, is it only the railways sidings or any other benefit also we are having which other players in markets?

Aditya Jajodia: See as far as I am aware other than one player in this industry none of the players have a private railway siding in Odisha which is the iron ore loading point number one. Number two, the other players also do not have their own railway sidings inside the plant complex itself so logistics costs are higher.

Number two, even if other players have their coke oven, I am not aware of most of the players don't have the coke oven at the same location. I would not like to take the names, but most of

the players have coke oven at the different locations again the cost increase, pilferages increase, handling increases, fines and the byproducts are increased.

So, in terms of cost efficiency that is why we say because of the logistics support and because we are having our entire facilities in the same complex itself. So, this makes our particular unit unique as regard to pipe manufacturing all the facilities are in the same complex itself rather than being distributed over two, three areas and in different geographies.

Radha: So, if we say given that we are already having, if we are having low-cost benefit then on the sale of pipes or other products. So, primarily talking about pipes because that's the main product is.

So, with respect to realization per

ton would we normally sell in line with the rates that the other players are offering or how would we determine our realization?

Aditya Jajodia: The realization will be determined absolutely by the market forces, and we will be selling at the same market prices. Just because our cost is lower, we will not be passing the benefit to the

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customers. The cost is lower for the benefit of the Company and for the stakeholders that is our advantage.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for their closing comments. Over to you, sir.

Aditya Jajodia: Thank you everyone for joining the call today. We trust that we have addressed all your inquiries to your satisfaction. In case we have any other remaining unanswered questions, please do not hesitate to contact our investor relationship agency GoIndia Advisors. They will be more than happy to assist you on this matter. Thank you once again please.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of GoIndia Advisors, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

JAI BALAJI INDUSTRIES LIMITED

Ref : JBIL/SE/2024-25

Date : 02-05-2024

To

The Manager

Listing Department,

National Stock Exchange of India Limited

"EXCHANGE PLAZA", C-I, Block G

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

(Company's Scrip Code: JAIBALAJI)To

The Manager,

Dept, of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalai Street,

Mumbai - 400 001

(Company's Scrip Code: 532976)

Dear Sir/Madam,

Sub: Transcript of the Earnings Con-Call held on 29th April. 2024

With reference to the captioned subject, please find enclosed the transcript of the Earnings Con-call for Q4 & FY24 held on April 29, 2024.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Jai Balaji Industries Limited

Ajay Kumar Tantia

Company Secretary

Regd. Office : 5, Bentinck Street, 1st Floor, Kolkata- 700 001.

Phone : +91-33-2248 9808, 2248 8173, Fax : +91-33-2243 0021/2210 7893/2242 6263

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CIN - L27102WB1999PLC089755

"Jai Balaji Industries Limited

Q4 FY '24 Earnings Conference Call'

April 29, 2024

Management : Mr. Aditya Jajodia - Chairman and Managing

Director - Jai Balaji Industries Limited

Mr. Raj Kumar Sharma - Chief Financial

Officer - Jai Balaji Industries Limited

Mr. Vijay Bagri - President Finance - Jai Balaji

Industries Limited

Mr. Ajay Tantia - Company Secretary - Jai

Balaji Industries Limited

Moderator : Ms. Sana Kapoor - Go India Advisors

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0 J A I B A L A J I I N D U S T R I E S L I M I T E D

Jai Balaji Industries Limited

April 29, 2024

Moderator:

Sana Kapoor:

Aditya Jajodia: Ladies and gentlemen, good day and welcome to the Jai Balaji Industries Limited Q4 FY '24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you and over to you, ma'am.

Thank you, Rayan. Good afternoon everybody and welcome to Jai Balaji Industries Limited Q4 and FY '24 Earnings Call. We have on the call Mr. Aditya Jajodia, Chairman and Managing Director, Mr. Raj Kumar Sharma, Chief Financial Officer, Mr. Vijay Bagri, President Finance and Mr. Ajay Tantia, Company Secretary. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Aditya Jajodia to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

Thank you, Sana. A very good afternoon to everyone. We are very pleased to welcome you all to our Q4 and FY '24 con call. Our investor presentation and results have already been uploaded on the exchanges and we hope that you have had the opportunity to review it. As you may be aware, Jai Balaji Industries is an integrated steel products company specialising in value-added products like ductile iron pipes and specialised ferroalloys. Our journey has witnessed a remarkable turnaround driven by the resilience and hard work leading to record breaking performances.

With Jai Balaji 2.0, our goal is to boost margins by focusing on revenue growth from ductile iron pipes and specialised ferroalloys and implement cost-cutting strategies, increasing operational efficiencies and also achieving a net debt surplus within the next 15 months. FY '24 has been a very eventful year for us. We have achieved record high financial performance, marking the highest ever in the history of our company.

Before discussing the financial and operational performance, I would like to highlight the following. Strategic updates of FY '24. Net debt free in the next 15 months. The company is making significant progress in its net debt reduction strategy. In FY '24, the net debt decreased to INR398 crores from INR871 crores, marking a reduction of 54%. It's worth noting that our current net debt to EBITDA ratio stands only at 0.4 as of March 31, 2024, thus performing better than our guidance of maintaining 0.6 net debt EBITDA.

This debt is associated with Tata Capital Limited and we are optimistic that within the next 15 months, we will achieve our goal of becoming a net debt free company. To update you all on

the capacity expansion and the capex plan of the company, we had earlier announced a capex plan of around INR1,000 crores and out of this, around INR497 crores has already been incurred and the balance INR503 crores is expected to be incurred in the next 15 months. All this capex is being done through internal accruals only.

I am extremely delighted to share that we have made a significant improvement towards achieving our capacity expansion plans. Capacity of DI pipes has been expanded 3 lakh tons compared to 2.4 lakh tons last year. Furthermore, 1.4 lakh metric tons that is the balance of Phase 1 and 2.2 lakh metric tons that is Phase 2 is expected to be commissioned in FY '25 and FY '26 respectively.

The capacity of ductile pipes will finally reach 6.6 lakh tons in the immediate future. The ferroalloy capacity is also being increased from 1.3 lakh tons to 1.66 lakh tons. The balance capacity of 0.24 lakh tons is expected to be commissioned by FY '25. In the blast furnaces, one of the blast furnaces has already been repaired and hence the capacity has expanded to 6.3 lakh tons up from 5 lakh tons of last year.

The completion of the second blast furnace is anticipated by the next financial year. Additionally, the capacity of sinters has been raised by 3 lakh metric tons to 9 lakh metric tons with the remaining 3 lakh metric tons selected for commissioning in FY '25. For more information please refer to slide 13 of the investor presentation.

I would want to highlight here that we are focusing on enhancing capacities for ductile iron pipes and ferroalloys because we believe that there is a very strong demand in these sectors. We expect that the DI pipe industry to go at 13% to 15% CAGR in the near future. The Jal Jeevan Mission and Mission Amrut Sarovar Infrastructure Development Plan which has been promoted by the government has led to an increased demand of these pipes and Jai Balaji is also contributing to the same.

Currently we have around 9% to 10% of the DI pipe market share of India and our aim is to reach 18% to 20% of the market share post our capacity expansion plans. We also manufacture special grade ferroalloys which is sold at significantly higher premiums to the benchmark ferroalloy prices.

We are one of the largest producers of specialised ferroalloys in India and export to more than 40 countries in the world. The company is also focusing on cost reduction measures through enhancing operational efficiencies. This includes owning three railway sidings and having captive power facilities.

Now coming to operational performances. For FY '24 the production of TMT bars, ferroalloys and DI pipes showed an increase of 18%, 12% and 14% to 2.5 lakhs tons, 1.2 lakhs tons and 2.4 lakh tons respectively. The sales volume of TMT bars and DI pipes showed an increasing trend of 22% and 14% year over year to 2.5 lakh tons and 2.4 lakh tons respectively.

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We also saw an increase in exports of special grade ferroalloys to over 40 plus countries with more than 50% of these being exported to key European, American countries and Japan. Realization of both ferroalloys and DI pipes increased significantly to INR1,76,000 tons for ferroalloys and INR77,000 per ton for ductile iron pipes which is an increase of 28% and 12% year over year. The production of Ferroalloys and DI pipes increased 19% and 6% year-over-year to 33 KTPA and 69 KTPA. Sales volume from them was similar to the volumes in Q4-'23. Realization of Ferroalloys and Ductile pipes showed an increasing trend of 23% year-over-year to 1,88,000 tons and INR83,000 tons for pipes. We are also thrilled to share that Jai Balaji has achieved its highest ever revenue, highest ever EBITDA and highest ever PBT and PAT for this financial year.

Revenue for this year increased by 5% year over year to INR6414 crores and INR375 crores up 71% year over year. EBITDA margin also increased to 15% compared to 9% last year. PAT also showed a very significant increase of 1422% to INR880 crores compared to only INR58 crores earned last year. Similarly, PAT margin showed a jump from 1% in FY '23-'24 to 14% in FY '24.

Revenue for the quarter increased to INR1846 crores up 7% year-over-year. The adjusted EBITDA showed a slight drop of 3% to INR257 crores year-over-year because of certain provisions taken in the books in this quarter only. The PAT increased significantly to INR273 crores up from losses reported in Q4-'23. The PAT margin also grew to 15% from minus 1% in Q4-'23.

Overall, the performance in FY '24 has been outstanding and we at Jai Balaji are ready for the next financial year. For FY '25, we anticipate revenue growth in the region of 25% to 30%, EBITDA margins of around 17% to 18% and the net debt to be reduced to a range of around INR225 to INR250 crores. The capital expenditure is also expected to be in the range of INR300 to INR250 crores and we expect the ductile iron pipe production to exceed INR4 lakh tons.

With a focus on increasing the contribution of value-added products for margin expansion, we expect DI to contribute 45% to 50% and Ferroalloys to contribute around 35% of our total volumes by FY '25-'26. In conclusion, I am very confident that Jai Balaji Industries will continue to grow as a resilient organization with a very strong growth trajectory. We can now open the floor for questions please. Thank you.

Moderator: The first question is from Jatin Damania from SVAN Investments. Please go ahead.

Jatin Damania: Good afternoon, thank you sir for the opportunity and congrats on a good set of number. Sir, firstly on your two segments DI and Ferro, where we are expanding our capacity and we are confident that the industry is likely to grow in a healthy double-digit growth. But can you throw some light in terms of what was the EBITDA per tone in both these segments in Q4 vis-a-vis Q3 and how did we end the financial year FY '24? J A I B A L A J I I N D U S T R I E S L I M I T E D
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Aditya Jajodia:

Jatin Damania:

Aditya Jajodia:

Jatin Damania:

Aditya Jajodia:

Jatin Damania: Sir, can you please repeat the question? You are not audible.

Sir, I just wanted to understand the EBITDA performance or EBITDA per tone for the ductile iron and Ferroalloys in Q4 vis-a-vis Q3 and given the strong growth that we are seeing in ductile iron where our major competitors are also increasing their capacity, how do we see our profitability panning out in FY '25-'26 once your capacity comes on stream?

Answering your second question first, the competitors are expanding capacity because the demand projections over here in India for the next five to 10 years it is extremely robust and there is acute scarcity of these pipes in the country because of the huge infrastructure growth that has been planned.

So keeping this in view, many of the competitors also would be expanding capacities. So naturally as we had mentioned that we are having a current market share of around 9% to 10% only right now and we want to increase it to around 18% to 20%. So keeping this objective in view, we are expanding our capacities.

One thing I would like to add over here is that when we compare ourselves to the cost, so in terms of cost, our facility is one of the most integrated in the ductile pipes across the country. Means we have all the facilities located in a single location and our cost structure is very conducive.

So in the cost quartile, we are one of the lowest producers in the cost quartile and even in the realizations, our realizations are slightly higher than our peers because of, I would say because

of timely deliveries, because of better quality and because of very personalized service by our marketing teams. In terms of margin you asked, in percentages, in ductile pipes we have a margin of around 20% to 25% and in Ferroalloys, specialized Ferroalloys, we have a margin of around 25%.

And this margin is expected to sustain?

Yes, this margin is absolutely expected to sustain because as we, as I also mentioned, is that other than expanding the capacities, what we are also doing is that we are also undertaking many cost cutting measures which are there in slide 13, you will see that. So in this cost cutting measures, the capacity of the Blast Furnaces has been expanded, the capacity has been expanded keeping in view that the coke rate will be reduced, the fuel rate will be reduced, also shelter plants have been added, also we are adding a substantial capacity of green power to the waste gas of the [0:14:15 VFG] etc.

So the cost also has been cut down and with increasing volume, the overheads also will come down, marketing expenses will come down. So when we take all these aspects in place, so the margins will be in the region of 18% to 20% for the group as well.

So sir, when you said about the cost cutting initiatives that you have taken and probably setting up the railway sliding and the captive power plant, so incremental how much cost saving that we can see into the overall company?

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Aditya Jajodia:

Jatin Damania:

Aditya Jajodia:

Jatin Damania:

Raj Kumar Sharma:

Jatin Damania:

Raj Kumar Sharma:

Jatin Damania:

Moderator:

Shweta Dikshit:

Aditya Jajodia:

Shweta Dikshit:Jai Balaji Industries Limited

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In incremental what we are talking about is that on the metals produced entirely, we are looking at a cost saving of approximately INR3000 to INR4000 per ton on the hot material.

On hot material. And sir, one more question on the ductile when you indicated that the margin is around 24%, 25% on the ductile iron. What was the same in the last quarter Q3?

Q3 the margins cost saving in the region of around 20% 21%.

We have seen almost INR300, INR400 higher in this quarter. And sir, last question is on your employee cost for FY '24. Now if you look at the overall costing, employee cost has increased by almost 20%. So what was the main reason behind that?

What happened in the first three quarters, the projects which were being capitalized, the expenses of the employees were not transferred over there. The entire once the capitalization were done, approximately INR8 crores capitalization was taken out of the employee cost and it was capitalized. Therefore, this quarter the employee cost is lower by INR8 crores.

Okay. But this run rate will continue going ahead?

No, it will be in the same region. Annually if you compare, it will be in the same range.

Sure, sir. Thank you, sir. If you have any other questions, I will come back in the queue. All the best.

Next question is from Shweta Dikshit from Systematix Group. Please go ahead.

Hello. Thank you, sir, for the opportunity. Question is regarding the EBITDA per ton margin. I mean, could you reiterate the margin for DI pipes and federal alloys for the quarter in terms of EBITDA on a per ton basis? Also, post-expansion, how are we looking at the margins evolving? Like by FY '26 '27, what can be the EBITDA per ton expected out of these segments? And I missed your guidance for FY '25 and '26 for the segments, volume guidance. Could you please repeat that? Thank you.

Madam, as we just said, is that the margins in the ductile iron pipe would be the region of around 22% to 25%. And in the specialized Ferroalloys, also 20%. In terms of volume guidance, for ductile alloys, we are looking to produce around 4 lakh tons in the forthcoming year there is FY '25.

And in FY '26, we are looking to produce around 6 lakh tons. And as far as Ferroalloys are concerned, we are looking to produce around 1.5 lakh tons in the forthcoming year. With the capacity going up to 1.9 lakh tons, we expect to produce 1.9, 1.8 lakh tons in the FY '26.

And so, what is the outlook on, I mean, how the steel prices have, remained range-bound, barring some uptick in the prices in this quarter. But if the prices fall further, what is your view on it? Will we still be able to, maintain margins or what could be the impact of that?

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Madam, One thing I would like to emphasize is that we are making steel products now. We are now no more of a commodity company by and large. As we have mentioned earlier in the presentation also, that our sales of specialized products was only 25% two years ago, which has increased to 50% this year.

Going forward, we are looking to raise it to 80% to 85% to 90%. So, basically, what we are talking about is that we are making products out of steel, which we are manufacturing in house. But we are no more a commodity player. So, as such, if you are saying that as such, the prices of the commodities going up and down will not be impacting the margins.

Maybe there will be a long-term adjustment in the final prices of the finished products depending upon the cost of production of steel or the sale prices of steel. But then the margins will remain intact. Entire for all of us.

Okay. Thank you, sir.

Thank you. The next question is from Sidharth Jain from Yes Securities. Please go ahead.

Hi. Good afternoon, sir. Firstly, congratulations. A couple of questions from my side. So, you have already mentioned your guidance for FY '25 in your presentation. But if you could just give us some more details on the same, that would be helpful. And if you could guide on your Ferroalloys Production Numbers for FY '25.

Raj Kumar Sharma: I'll answer you about the Ferroalloys Special Grade. This year, we have completed with a production of 34,350. The Special Grade and the Normal Grade is 81,000. And what was the first question?

Sidharth Jain: And what would be your production number for FY '25? Any guidance on that?

Raj Kumar Sharma: In Ferroalloys, we'll be increasing capacity by around 30,000 this year. So, roughly the same level of capacity utilization. Last year, we achieved around 76%. We'll achieve the same level.

Sidharth Jain: All right. So, my second question is, So, the break-up of your Normal Grade Ferroalloys and your Special Grade Ferroalloys will also remain the same going forward?

Raj Kumar Sharma: We'll try to increase the Special Grade Ferroalloys. That all depends on market and the demand, which is currently being increased. It is showing an increasing trend.

Sidharth Jain: Got it. But any target...

Raj Kumar Sharma: We are the fourth-largest exporters out of India.

Aditya Jajodia: I understand what Sharmaji is saying. See, what is happening is that the Special Grade of Ferroalloys is a very new product for India as a whole. What has happened is that to establish the market, it has taken us more than four to five years. Currently, we are exporting to 40 countries. f t J A I B A L A J I I N D U S T R I E S L I M I T E D

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Aditya Jajodia:

Shweta Dikshit:

Moderator:

Sidharth Jain:

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0 J A I B A L A J I I N D U S T R I E S L I M I T E D

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Sidharth Jain:

Aditya Jajodia:

Sidharth Jain:

Aditya Jajodia:

Sidharth Jain:

Aditya Jajodia:

Moderator:

Parth Modi:

Raj Kumar Sharma:

Parth Modi:

Moderator: And with the passage of every month, every quarter, the confidence of our buyers, it is increasing multifold. So, currently in our mix, whatever mix we have given you, is that in this mix, the contribution and the share of Special Grade Ferroalloys will be continuously increasing because the customers have potential to buy more.

But many customers are still not buying 100% of the requirements from us because we are literally new suppliers to them because we are the only export out of India for these products. So, they need to establish some more confidence. It will take a couple of more quarters, three quarters more. So, it is not a one-day match. It is a long haul. So, here also the share of the Special Grade Ferroalloys will be increasing Q-on-Q.

Got it, sir.

One more thing we would like to add over here is that the share of the Special Grade Ferroalloys has increased 80% over last year.

Got it, sir. Noted. Lastly, from my end, as you have mentioned that there is a INR1000 crores capex that you will have planned for the next 15 months. So, anything post that, any other

capex plans that you all have on the table or any discussions that you can help us with post the 15 months with INR1000 capex?

See what is happening is that currently the management is very focused to complete this particular capex plan. So, as of now, we would not like to give any guidance of further capex till the time this particular project are completed and the company is able to reap the fruits and the benefits of this particular capex. We will not be in a position to do any further capex. So, as of now, there are no further plans immediately.

Perfect. That was helpful, sir. Wish you all the best. Thank you.

Thank you.

Thank you. The next question is from Parth Modi from Equiris Securities. Please go ahead.

Hi, sir, and thanks for the opportunity and congratulations on the great set of numbers. I had only one question that why the other income has gone so up and can you please give us the breakup of the same?

If you see our last balance sheet there was a lot of provisions which we had made and those provisions have been reversed. Those were not required and the other expenses also has gone up. So, certain provisions have been made into other expenses and these provisions have been clubbed into other income as per accounting.

Okay, sir.

Thank you. Next question is from Yogesh from Authum. Please go ahead.

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Jai Balaji Industries Limited

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Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia: Good afternoon sir. Am I audible?

Yes.

Sir, just to understand the DI pipes basically. So as we know that we are integrated player in DI pipe. So I just wanted to know and on an EBITDA per ton basis what would be the difference between a non-integrated and integrated player in the DI pipe segment in terms of EBITDA per ton?

The difference could be as high as around 8% to 10%.

Okay, 8%, 10% between an integrated and non-integrated data?

Absolutely.

And we have about 9% to 10% market share in the DI pipe segment. So how much of the total industry of DI pipes in India would be non-integrated players?

Can you please repeat the question?

So we have a market share of about 9%, 10% in the DI pipe segment in India. So out of the total universe or out of the total industry of DI pipe in India, how much would be contributed by non-integrated players?

See, integrated and non-integrated would also have different levels of integration and non integration. So what I would like to say is that what we can mention is about our company is that our facilities are fully integrated and they are all integrated at the same location itself. So that also gives a very big advantage.

For example, there could be players who are integrated but they have the integration at some other location where there would be a great disadvantage. So the different players would have different levels of integration, different types of integration. But if you talk about total integration at a single location, ours would be one of the very few companies.

So what would be the contribution of such players to the overall industry where they are integrated at one location only? So what would be their contribution out of the total industry? It would be around 50%.

50% okay. And sir, one more observation like if I compare TMT with DI pipes. TMT, we see a fall in realization of about 16% Y-o-Y and again 2% on Q-o-Q basis while DI pipes there has been an increase of 23%. So what is the different dynamics playing in both these TMT versus DI pipes?

We will explain. TMT basically this is exactly what we have been trying to emphasize. TMT is a segment which has been made by hundreds of players in the country. So it is a pure commodity segment. So the steel prices they have softened since last year. So that is why the

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Yogesh:

Aditya Jajodia: Jai Balaji Industries Limited

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realization has TMT. So the commodity prices have come down. TMT prices they have also come down. But in the case of DIP since it is not a pure commodity pay, but a value-added product player yet the prices have actually not come down and they have increased.

So what would be the EBITDA per ton in TMT segment if I can get a range in TMT segment, what would be the EBITDA per ton?

In TMT segment EBITDA would be ranging in different quarters ranging between around 7% to 10%.

Yogesh:

Aditya Jajodia:

Yogesh: Okay, 7% to 10%. And sir lastly on the realization, so DI pipes the realization increased in one year from 68,000 per ton to about 84,000, 83,500. So do we expect sustaining around current levels or it will try to revert to where it started from?

See, the order book which we have in hand as of now and the demand projections which we are seeing what we are looking at is that we should be able to maintain this guidance. There may be a correction of 2% to 3% in the prices.

Sure. And lastly on the installation so from about INR54,000 per ton last year to about INR45,000 it is continuously declining. So do we see a decline going forward in realization per ton?

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Moderator:

Ankur Kumar: For the decline or increase in price of steel prices this is a very macro subject. It is a very global subject. So what we are seeing is that globally there are two trends emerging. One is that steel price, they have softened globally, but in India what you see on the contrary is that in the last two months in spite of the global prices softening the prices of steel they have in fact gone up.

So these are factors actually where the global prices as well as the local demand so whichever will prevail, accordingly the prices will react. So to make a long-term projection of the prices and the demand of steel this is a very difficult job to do actually.

Sure, sir. That is very helpful.

Tata Steel and SAIL and JSW can come on better on this I think. They are the larger commodity players.

Sure, sir. That is very helpful. That's all from my side.

Thank you. Next question is from Ankur Kumar from Alpha Capital. Please go ahead.

Hello, sir. Thank you for taking my question. Sir, I wanted to inquire on this other income only. So you are saying that this is like provision reversal. So can you comment how much was it for the provision reversal?

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Raj Kumar Sharma: As far as the provision, the other income provision which was reversed it was around INR110 to INR150 crores were reversed on account of...

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Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Moderator:

Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia: So, sir in terms then if I remove these others income there is a margin reduction from 14% to 13% is it right and can you comment on that please?

The actual reversal was around INR180 crores.

In that case, sir, was there a margin reduction compared to the last quarter of Q3?

Margin reduction was not there. It was in the same region, 13%-14%.

Got it, sir. And, sir, on the tax rate, what should be our assumption for FY'25 tax rate?

Tax rate, we have carried forward losses. So probably, we will, for the next financial year, we have close to INR1,000 crores of carry forward losses which will be used.

So this year, I think our tax rate was close to 9% or so, the one which came in income statement. So that should continue 9%-10% only?

That was deferred taxation which was reversed, which we had in our balance sheet. It is a non cash item.

Okay. Got it, sir. Thank you and all the best.

Thank you. The next question is from Majid Ahamed from Smart Sync Investment Advisory Services. Please go ahead.

So for my first question is, what is your current order book? And like how much of the order book is from the government side?

See, the order book currently for ductile iron pipes, it is in the region of around 10-12 months of the current capacity. And out of this, around 35% would be government orders.

So the next is, we're also looking to diversify into export markets.

You're not audible, Mr. Ahamed.

Yes, sir, I'm audible now. Now I'm audible, sir?

Yes, now you're audible.

Okay, sir. So my next question is, what's your plan, especially going to the export markets?

Because you're also looking at Africa. What's the current update on that?

See, the plan for the export market, we have a long-term plan. But currently what is happening is that the demand locally, it is very, very robust. And the government is very keen that the

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Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia:

Moderator:

Majid Ahamed:

Raj Kumar Sharma:

Majid Ahamed:

Raj Kumar Sharma:

Majid Ahamed:

Moderator:

Gunit Singh: infrastructure projects are completed on time. And since there is a scarcity, so our first responsibility, it is towards supplying the pipes in India.

We have a very small export market also, which with the expenses coming on stream by next year. From there, we will be moving deeper to the export markets. But immediately in the near future, we are not looking at expanding very aggressively in the export market.

Okay, sir. So my last question, sir, is that, so you are also saying that you're trying to reduce your power cost maybe through green energy and so on. So can you expand on that? Are you planning to install something [0:35:36]?

You are not audible, Mr. Ahamed. Can you please raise your voice?

Yes, sir, now I'm audible, sir. Sir, my question is, so you also said you're also going to reduce power costs and making it more cost-optimized. So is there any capex made on that side, maybe installing some other, maybe renewable energy on that side, like as you're saying about the green energy, is there any plans on that side?

Mr. Ahamed, we cannot hear you properly.

Mr. Ahamed, if you're on a hands-free, request you to use the handset.

Yes, sir. So my question is, is there any plans to reduce the costs on green energy you had said earlier? Any capex on that trend to reduce your energy costs?

So with regard to green power, we are putting up another BFG boiler, for which 50% of the work has already been completed. And we shall be completing the same in the next six months. And this year, we will be able to produce more green power out of that.

And what is the financial projection of this? Financial implication, like how much costs can be reduced?

So the BFG boiler cost was estimated at around INR30 crores only, and out of which, around INR13.3 crores was spent up till March '24, and the balance will be spent in the next six months.

Okay. Thank you, sir. All the best.

Next question is from the line of Gunit Singh from Counter Cyclical PMS. Please go ahead.

Hi, sir. You mentioned that we have moved from a commodity business to a more specialized business, and that is what the future outlook also is. So our margin used to be about 1% to 5% around 4-5 years back, which we are seeing now to be around 14%. So I just would like to understand what kind of steady-state margins should the company expect going forward?

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Aditya Jajodia:

Gunit Singh:

Aditya Jajodia:Jai Balaji Industries Limited

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And I also want to understand, how would our margins react to changes in steel prices? For example, in futures, in FY'26, steel prices fall by 50%. So how should that affect our margins directionally? That's what I would like to understand.

We didn't understand your question properly. Can you please repeat this question once again?

So, basically, I want to understand the steady-state operating margins the company expects in future. In the past, we saw that we had about 1% to 5% operating margins about 3 to 5 years back, which are now at about 14%. And you mentioned that the company has moved from more of a commodity business to more specialized products.

So I would like to understand what kind of margins can be maintained and how would our margins move in future with changes in steel prices? So, for example, say in future if steel prices fall by 50%, what kind of minimum operating margins can the company still expect to operate in?

Yes, we'll explain. See, with the guidance given by us, so we've been repeating this continuously, is that we're looking at expanding our margins to 18% to 20% by the time the entire capex plan is completed over the next 15 to 18 months. So this is the guidance for the future. So this is the first part of your question.

Coming to the second part of your question where you're asking, what will happen to the margins if the steel prices are to come down? See, even if the prices are to come down, the margins will not come down. In fact, the margins will go up if the prices of the steel is to come down. Because we are making the products where we are selling at, I will say, where the prices are linked very much to the prices of the demand and supply, not so much as to the prices of steel.

Gunit Singh:

Aditya Jajodia:

Gunit Singh:

Aditya Jajodia:

Gunit Singh:

Moderator:All right, sir. So what kind of minimum steady-state margins can we expect even in an adverse scenario going forward according to the management?

That is what we've been studying so far is that the guidance or the conservative basis that is going to be 18% to 20%?

All right. This is not just for next year, but this is for coming, say, 4 to 5 years?

Yes, obviously.

All right, sir. That's all from my side. Thank you.

Thank you. Next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Namaskar, sir, and thank you for the opportunity. Firstly, Sharmaji, if you could just explain the impact of the reversal in terms of the other income and also its impact on the other expenses, just to keep it in a comparative number to Q3, what should be the likely number?

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Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma: Comparative number to?

Q3. If we compare the numbers in Q-on-Q, if we net off your exceptional income and expenses, then what should be the net impact?

The net impact, the non-cash impact is INR137 crores. I don't have the figure in front of me, but it was close to INR137 crores.

Okay. When I am referring to page number 18 of the investor presentation, we are looking at our EBITDA down 2% even on a higher revenue, Q-on-Q. So what explains this referring to page number 18?

The sale prices of certain products have come down in Q3, Q4. Because of that, the margin has come down.

Okay. And sir, Adityaji, now with the expansion kicking in for the DI pipe, what should be the quarterly run rate for the DI pipe for this financial year, FY'24-'25?

This year, in FY'24-'25, we will be achieving a production volume of close to 4 lakh tons. And we will be seeing incremental gains quarter-to-quarter.

Okay. Sir, now we are producing for INR69,000 and selling for INR66,000-INR67,000. So, what should be the likely number in terms of -- it should be proportionate or in the second half, there will be a bump up in the volume. That is what I want to understand.

Q-on-Q rise every quarter, starting from quarter 2.

Come again, sir?

You will see a rise in production every quarter, starting from quarter 2.

Quarter 2. So quarter 1 is on similar line in terms of -- the capacity benefit will kick in from quarter 2. That is what your understanding is.

We expect to increase by up to 4%-5% compared to Q4 of last year. So our first plan has already been commissioned in the month of February. So we have seen some gains in quarter 4. In Q1 also we will see more gains. And our next phase will be commissioned in Q2. So every quarter, you will be seeing incremental gains.

Okay. Sharmaji, what should we read into this high trade payable of INR858 crores and also this other current liability of INR264 crores? Why are these so high numbers when we look at our repayable part? Why are the numbers so unevenly balanced? Correct me there, sir.

I would like to clarify that the trade payable number will also be coming down since the company does not have any bank credit facilities. The company is growing with the support of its creditors as well as the support of its buyers. So these numbers will be high right now. But on Q-on-Q basis, it will be coming down in the next quarter itself.

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Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor: Jai Balaji Industries Limited

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Okay. And on the other current liabilities part, that has gone down from INR400 crores to INR265 crores. So what are the key constituents?

As conveyed by [0:44:35], there have been certain provisions which have been made in the earlier year. It got reversed in this quarter. So we are expecting that the other current liabilities figures will be more or less in line with this quarter in the coming quarters.

Right. Adityaji, you have been alluding to the fact about the ferroalloy segment contributing to around 50% margin. Who are its end users? Who are our main buyers? And what is the client concentration in this product?

You need to repeat that question. Actually, it was not audible.

I will repeat it. As Mr. Aditya has mentioned that for ferroalloy, we are enjoying a margin of 50%. Correct me there. Who are our end users? And is there any client concentration or any concentration in the geographies where we are getting to?

One second, please. Margin was not 50%. We have said..

Yes, please.

It was not 50%.

Okay, sir. Correct me, sir. What is the margin?

Yes, sir. Margin will be around 22%-25%.

Okay. And, sir, who are the end buyers? Like you said, we are making a specialized ferro alloy which we charge a higher premium. So, who are the buyers? And, Mr. Aditya, if we look at the peer comparison globally, who are we competing with?

There are two parts to this question. Buyers are very varied in the world. There are some big buyers too. Like in India, there is JSW Steel, ArcelorMittal. These are big buyers. If we go to the world, then in Japan, there are automobile manufacturers. The founders of aerospace industry same for Europe and America. So the large steel players are also there. And other than that, there are very small founders.

People who have very rich applications. And where the steel is made for the application in the aerospace industry, in the defense, oil drilling etc. So there are such users too. So the buyer will say that the buyer's spread is very global. In the developed countries only. And in India its demand is increasing gradually. So if the buyer says, then there are also big steel producers in the world. You can say the name of [46:41.9 Chandshan Mittal].

Understood. So it is all for the value added products only this carol is going through. The value added steel. So that will pay...

Aditya Jajodia: This goes in highly added steel.

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Saket Kapoor:

Aditya Jajodia:

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When we look at our Chhattisgarh unit, how is this getting integrated with our Bengal unit and how will this serve the purpose of integration as you were explaining to us?

The Chhattisgarh unit is in an entirely different geographical region, it is very far from Bengal, there is no link between Bengal with this and the vertical is also different. See, the value of the product is being made in Bengal. Other products of the company are also there, which have sponge iron and billets. So, they make billets from sponge.

So, the space of the sponge, iron and billets is a commodity. And this can be called as margin dilutive, in comparison to the DI pipe and ferroalloy product which we are giving full thrust

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Moderator:Absolutely.

So, going ahead, these segments of ours, Pig Iron is still going into integration, but other than that, what will be the future of the external sales? We will continue to sell in this geography and what is the thought process for that?

I am telling you clearly. Hello, what we are saying is that in the next one and a half years, 80%-85% of the company sales will be valued added products going forward, the percentage of valuated products in the total product market will be around 80%-85%. So, the 15%, 20% of the non-valuated products will be products like sponge iron, etc, which we are selling for Chhattisgarh also. So, we are not closing down those modules. Though they are, I will say, EBITDA dilutive in terms of the very highly-valuated products, but they are not EBITDA negative. They are still EBITDA positive and hugely positive. So, we will not be diluting those divisions.

Right. And, lastly, Sharmaji, on the capital work in progress, this entire 116 will be capitalized by the quarter 2 with the DI pipes expansion getting commissioned?

It will take three quarters. Something will be capitalized in the first quarter, second quarter, and probably next year, first quarter, the entire expansion will be completed. The current year, close to INR250 crores-INR300 crores capex will be completed.

Sir, last line I missed completely.

Around INR300 crores of capex will be done in the current financial year.

So, okay. That will be the closing capital work in progress for FY'25. Hello?

Yes.

Right. And, last point on the deferred... Yes, I'll join the queue, sir. No issues.

Thank you. Next question is from Shweta Dikshit from Systematix Group. Please go ahead.
Shweta Dikshit: Thank you, sir. My question is answered. No more questions from my side.
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Moderator:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia: Thank you. Next question is from Saket Kapoor from Kapoor Company.

Yes, sir. I was just referring to the deferred tax asset and you mentioning about we are having a carry forward by loss up to the tune of INR1000 crores. So, there will be no tax incidents, cash outflow till the balance gets cleared or we will be paying tax on the profit that we will be making during this period?

We are into new regime that is not applicable over there as far as carry forward losses is concerned, close to INR1,000 crores of carry forward losses remain in the company which will be utilized in the current financial year probably. As far as deferred tax asset is concerned, around, if I remember it correctly, INR250 crores of deferred...It will get reversed. In the balance sheet, it is around INR200 crores still left which will be reversed and sold in the PL, charged in the PL this year only.

Right. Aditya ji, you mentioned about a strong growth in the VIP segment and we are expecting 30% to 15% growth for the coming 2-3 years. So, currently, if you could give us some understanding how is the bid pipeline looking? What is the current installed capacity for the country and including you and other players, what are the new capacities that will hit the market for FY'25 and FY'26? Any ballpark number you would like to share?

See, the current capacity, operating capacity, it is around 35 lakh tons approximately. So, different manufacturers are adding different capacities in different timelines. So, we are expecting over the next 2 years, this capacity to grow to approximately around 4.5 lakh tons to 5. Sorry, to around 45 lakh tons.

So, from 35 lakh tons to 45 lakh tons will be the expanded capacity in 2 years?

Yes, you have to measure one thing. Adding the pipe capacity, it is not very easy because the pipe capacity for an integrated player, the pipe capacity is only the finishing line. But behind that, you need a blast furnace, you need a sinter, you need a coke oven. It is a fully integrated steel facility where pipe is one of the products. So adding the capacity, it is not an overnight job.

Right, sir. And if you could give some more on the bid pipeline, what is the demand outlook in terms of the government bid pipeline pertaining to the AMRUT scheme, the JAL SE, NAL scheme and all? What is the traction you are seeing in the bid pipeline look like? So, how will this -- this capacity should get absorbed easily or not? That is only my question.

Capacity will be very easily absorbed because there is huge work pending and it is still pending. So, actually, water is a very, very important resource for any nation. So, in India, what we are right now talking about in the JAL JEEVAN mission and the AMRUT scheme, it is only the first leg of the implementation where the water can be provided to each and every household.

Still, those schemes to be fully implemented, it is around 2 years to 3 years away. After that, there is also incremental demand coming from irrigation. There is incremental demand coming
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Saket Kapoor:

Aditya Jajodia:

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Aditya Jajodia:

Saket Kapoor: Jai Balaji Industries Limited

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from housing colonies, incremental demand coming from industries. So the demand will be there. So the demand projection, it is very, very positive.

Okay. That will also involve the reverse linking project also. That is also in the pipeline as you are referring to.

Not just that. The DIP has still not been revealed. That is why it did not be -- that is why we did not name it.

Okay. But that is also a big demand driver going ahead?

Absolutely. Big demand driver.

Right. So what should be the bid pipeline?

What should be the .?

Bid pipeline. If on a nameplate capacity of 3.5 million, what should be the bid pipeline for this year and the coming years should likely be?

The bid pipeline is very large. The bid pipeline will be at least 50% to 60% more than the demand because the tenders take time to get finalized also. Already if we talk about this year, the amount of help that we have, already for this particular year, the bid pipeline, it is more than the small capacity. But the tenders do not get finalized overnight also.

Right. If the time permits, my last concluding remark on the export part. With 6 lakh tons of our capacity coming up, we will look to export DI pipe also going ahead or we will be solely concentrating to the domestic market?

Our focus for the next two years, it is going to be highly I will say focusing on the domestic industry because the demand in India is very large and we also have a social responsibility to first cater to our own country's demand. Number one.

Number two, in the export market, we have a very small market share and in the export market, we will be venturing out maybe after 18 to 24 months once the entire capacity program is complete.

Right. And on the raw material mix, the coking coal and iron ore, the price trend for the same, how will the price behave Q-on-Q basis for the coking coal and raw material?

You're not clear.

Sir, I was looking for the raw material basket prices of coking coal and iron ore. How have they fared for the fourth quarter?

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For the fourth quarter, the raw material prices means the raw material prices, they always vary with the global trends. So iron ore prices, they had suffered. Again, they have gone up very recently. Coking coal prices, they also corrected in Q4. But now, again, the trend is slightly up. So iron ore, coking coal, thermal coal, these are raw materials which will keep on fluctuating Q-on-Q. Fourth quarter, we got a little advantage. Currently, they have dipped a little up. So these things will come up. So these things, these prices of raw materials, these prices cannot be predicted, but then these will be ups and downs in the market always.

Saket Kapoor: But there is no significant variation. That is what we can conclude.

Aditya Jajodia:

Saket Kapoor: Yes.

Okay. Thank you Adityaji and Sharmaji for elaborating and answering to our questions and all the best to the team. Thank you and Namaskar, sir.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Aditya Jajodia: Thank you everyone for joining the call today. We trust that you have addressed all your queries to your satisfaction. If you have any other remaining unanswered questions, please do not hesitate to contact our investor relationship agencies, Go India Advisors. They will be more than happy to assist you further. Thank you so much once again. Thank you.

Moderator: Thank you very much. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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Call: May 2024

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Date : 02-05-2024

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Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

(Company's Scrip Code: JAIBALAJI)To

The Manager,

Dept, of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalai Street,

Mumbai - 400 001

(Company's Scrip Code: 532976)

Dear Sir/Madam,

Sub: Transcript of the Earnings Con-Call held on 29th April. 2024

With reference to the captioned subject, please find enclosed the transcript of the Earnings Con-call for Q4 & FY24 held on April 29, 2024.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Jai Balaji Industries Limited

Ajay Kumar Tantia

Company Secretary

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CIN - L27102WB1999PLC089755

"Jai Balaji Industries Limited

Q4 FY '24 Earnings Conference Call'

April 29, 2024

Management : Mr. Aditya Jajodia - Chairman and Managing

Director - Jai Balaji Industries Limited

Mr. Raj Kumar Sharma - Chief Financial

Officer - Jai Balaji Industries Limited

Mr. Vijay Bagri - President Finance - Jai Balaji

Industries Limited

Mr. Ajay Tantia - Company Secretary - Jai

Balaji Industries Limited

Moderator : Ms. Sana Kapoor - Go India Advisors

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0 J A I B A L A J I I N D U S T R I E S L I M I T E D

Jai Balaji Industries Limited

April 29, 2024

Moderator:

Sana Kapoor:

Aditya Jajodia: Ladies and gentlemen, good day and welcome to the Jai Balaji Industries Limited Q4 FY '24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you and over to you, ma'am.

Thank you, Rayan. Good afternoon everybody and welcome to Jai Balaji Industries Limited Q4 and FY '24 Earnings Call. We have on the call Mr. Aditya Jajodia, Chairman and Managing Director, Mr. Raj Kumar Sharma, Chief Financial Officer, Mr. Vijay Bagri, President Finance and Mr. Ajay Tantia, Company Secretary. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Aditya Jajodia to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you and over to you, sir.

Thank you, Sana. A very good afternoon to everyone. We are very pleased to welcome you all to our Q4 and FY '24 con call. Our investor presentation and results have already been uploaded on the exchanges and we hope that you have had the opportunity to review it. As you may be aware, Jai Balaji Industries is an integrated steel products company specialising in value-added products like ductile iron pipes and specialised ferroalloys. Our journey has witnessed a remarkable turnaround driven by the resilience and hard work leading to record breaking performances.

With Jai Balaji 2.0, our goal is to boost margins by focusing on revenue growth from ductile iron pipes and specialised ferroalloys and implement cost-cutting strategies, increasing operational efficiencies and also achieving a net debt surplus within the next 15 months. FY '24 has been a very eventful year for us. We have achieved record high financial performance, marking the highest ever in the history of our company.

Before discussing the financial and operational performance, I would like to highlight the following. Strategic updates of FY '24. Net debt free in the next 15 months. The company is making significant progress in its net debt reduction strategy. In FY '24, the net debt decreased to INR398 crores from INR871 crores, marking a reduction of 54%. It's worth noting that our current net debt to EBITDA ratio stands only at 0.4 as of March 31, 2024, thus performing better than our guidance of maintaining 0.6 net debt EBITDA.

This debt is associated with Tata Capital Limited and we are optimistic that within the next 15 months, we will achieve our goal of becoming a net debt free company. To update you all on

the capacity expansion and the capex plan of the company, we had earlier announced a capex plan of around INR1,000 crores and out of this, around INR497 crores has already been incurred and the balance INR503 crores is expected to be incurred in the next 15 months. All this capex is being done through internal accruals only.

I am extremely delighted to share that we have made a significant improvement towards achieving our capacity expansion plans. Capacity of DI pipes has been expanded 3 lakh tons compared to 2.4 lakh tons last year. Furthermore, 1.4 lakh metric tons that is the balance of Phase 1 and 2.2 lakh metric tons that is Phase 2 is expected to be commissioned in FY '25 and FY '26 respectively.

The capacity of ductile pipes will finally reach 6.6 lakh tons in the immediate future. The ferroalloy capacity is also being increased from 1.3 lakh tons to 1.66 lakh tons. The balance capacity of 0.24 lakh tons is expected to be commissioned by FY '25. In the blast furnaces, one of the blast furnaces has already been repaired and hence the capacity has expanded to 6.3 lakh tons up from 5 lakh tons of last year.

The completion of the second blast furnace is anticipated by the next financial year. Additionally, the capacity of sinters has been raised by 3 lakh metric tons to 9 lakh metric tons with the remaining 3 lakh metric tons selected for commissioning in FY '25. For more information please refer to slide 13 of the investor presentation.

I would want to highlight here that we are focusing on enhancing capacities for ductile iron pipes and ferroalloys because we believe that there is a very strong demand in these sectors. We expect that the DI pipe industry to go at 13% to 15% CAGR in the near future. The Jal Jeevan Mission and Mission Amrut Sarovar Infrastructure Development Plan which has been promoted by the government has led to an increased demand of these pipes and Jai Balaji is also contributing to the same.

Currently we have around 9% to 10% of the DI pipe market share of India and our aim is to reach 18% to 20% of the market share post our capacity expansion plans. We also manufacture special grade ferroalloys which is sold at significantly higher premiums to the benchmark ferroalloy prices.

We are one of the largest producers of specialised ferroalloys in India and export to more than 40 countries in the world. The company is also focusing on cost reduction measures through enhancing operational efficiencies. This includes owning three railway sidings and having captive power facilities.

Now coming to operational performances. For FY '24 the production of TMT bars, ferroalloys and DI pipes showed an increase of 18%, 12% and 14% to 2.5 lakhs tons, 1.2 lakhs tons and 2.4 lakh tons respectively. The sales volume of TMT bars and DI pipes showed an increasing trend of 22% and 14% year over year to 2.5 lakh tons and 2.4 lakh tons respectively.

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We also saw an increase in exports of special grade ferroalloys to over 40 plus countries with more than 50% of these being exported to key European, American countries and Japan. Realization of both ferroalloys and DI pipes increased significantly to INR1,76,000 tons for ferroalloys and INR77,000 per ton for ductile iron pipes which is an increase of 28% and 12% year over year. The production of Ferroalloys and DI pipes increased 19% and 6% year-over-year to 33 KTPA and 69 KTPA. Sales volume from them was similar to the volumes in Q4-'23. Realization of Ferroalloys and Ductile pipes showed an increasing trend of 23% year-over-year to 1,88,000 tons and INR83,000 tons for pipes. We are also thrilled to share that Jai Balaji has achieved its highest ever revenue, highest ever EBITDA and highest ever PBT and PAT for this financial year.

Revenue for this year increased by 5% year over year to INR6414 crores and INR375 crores up 71% year over year. EBITDA margin also increased to 15% compared to 9% last year. PAT also showed a very significant increase of 1422% to INR880 crores compared to only INR58 crores earned last year. Similarly, PAT margin showed a jump from 1% in FY '23-'24 to 14% in FY '24.

Revenue for the quarter increased to INR1846 crores up 7% year-over-year. The adjusted EBITDA showed a slight drop of 3% to INR257 crores year-over-year because of certain provisions taken in the books in this quarter only. The PAT increased significantly to INR273 crores up from losses reported in Q4-'23. The PAT margin also grew to 15% from minus 1% in Q4-'23.

Overall, the performance in FY '24 has been outstanding and we at Jai Balaji are ready for the next financial year. For FY '25, we anticipate revenue growth in the region of 25% to 30%, EBITDA margins of around 17% to 18% and the net debt to be reduced to a range of around INR225 to INR250 crores. The capital expenditure is also expected to be in the range of INR300 to INR250 crores and we expect the ductile iron pipe production to exceed INR4 lakh tons.

With a focus on increasing the contribution of value-added products for margin expansion, we expect DI to contribute 45% to 50% and Ferroalloys to contribute around 35% of our total volumes by FY '25-'26. In conclusion, I am very confident that Jai Balaji Industries will continue to grow as a resilient organization with a very strong growth trajectory. We can now open the floor for questions please. Thank you.

Moderator: The first question is from Jatin Damania from SVAN Investments. Please go ahead.

Jatin Damania: Good afternoon, thank you sir for the opportunity and congrats on a good set of number. Sir, firstly on your two segments DI and Ferro, where we are expanding our capacity and we are confident that the industry is likely to grow in a healthy double-digit growth. But can you throw some light in terms of what was the EBITDA per tone in both these segments in Q4 vis-a-vis Q3 and how did we end the financial year FY '24? J A I B A L A J I I N D U S T R I E S L I M I T E D
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Aditya Jajodia:

Jatin Damania:

Aditya Jajodia:

Jatin Damania:

Aditya Jajodia:

Jatin Damania: Sir, can you please repeat the question? You are not audible.

Sir, I just wanted to understand the EBITDA performance or EBITDA per tone for the ductile iron and Ferroalloys in Q4 vis-a-vis Q3 and given the strong growth that we are seeing in ductile iron where our major competitors are also increasing their capacity, how do we see our profitability panning out in FY '25-'26 once your capacity comes on stream?

Answering your second question first, the competitors are expanding capacity because the demand projections over here in India for the next five to 10 years it is extremely robust and there is acute scarcity of these pipes in the country because of the huge infrastructure growth that has been planned.

So keeping this in view, many of the competitors also would be expanding capacities. So naturally as we had mentioned that we are having a current market share of around 9% to 10% only right now and we want to increase it to around 18% to 20%. So keeping this objective in view, we are expanding our capacities.

One thing I would like to add over here is that when we compare ourselves to the cost, so in terms of cost, our facility is one of the most integrated in the ductile pipes across the country. Means we have all the facilities located in a single location and our cost structure is very conducive.

So in the cost quartile, we are one of the lowest producers in the cost quartile and even in the realizations, our realizations are slightly higher than our peers because of, I would say because

of timely deliveries, because of better quality and because of very personalized service by our marketing teams. In terms of margin you asked, in percentages, in ductile pipes we have a margin of around 20% to 25% and in Ferroalloys, specialized Ferroalloys, we have a margin of around 25%.

And this margin is expected to sustain?

Yes, this margin is absolutely expected to sustain because as we, as I also mentioned, is that other than expanding the capacities, what we are also doing is that we are also undertaking many cost cutting measures which are there in slide 13, you will see that. So in this cost cutting measures, the capacity of the Blast Furnaces has been expanded, the capacity has been expanded keeping in view that the coke rate will be reduced, the fuel rate will be reduced, also shelter plants have been added, also we are adding a substantial capacity of green power to the waste gas of the [0:14:15 VFG] etc.

So the cost also has been cut down and with increasing volume, the overheads also will come down, marketing expenses will come down. So when we take all these aspects in place, so the margins will be in the region of 18% to 20% for the group as well.

So sir, when you said about the cost cutting initiatives that you have taken and probably setting up the railway sliding and the captive power plant, so incremental how much cost saving that we can see into the overall company?

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Aditya Jajodia:

Jatin Damania:

Aditya Jajodia:

Jatin Damania:

Raj Kumar Sharma:

Jatin Damania:

Raj Kumar Sharma:

Jatin Damania:

Moderator:

Shweta Dikshit:

Aditya Jajodia:

Shweta Dikshit:Jai Balaji Industries Limited

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In incremental what we are talking about is that on the metals produced entirely, we are looking at a cost saving of approximately INR3000 to INR4000 per ton on the hot material.

On hot material. And sir, one more question on the ductile when you indicated that the margin is around 24%, 25% on the ductile iron. What was the same in the last quarter Q3?

Q3 the margins cost saving in the region of around 20% 21%.

We have seen almost INR300, INR400 higher in this quarter. And sir, last question is on your employee cost for FY '24. Now if you look at the overall costing, employee cost has increased by almost 20%. So what was the main reason behind that?

What happened in the first three quarters, the projects which were being capitalized, the expenses of the employees were not transferred over there. The entire once the capitalization were done, approximately INR8 crores capitalization was taken out of the employee cost and it was capitalized. Therefore, this quarter the employee cost is lower by INR8 crores.

Okay. But this run rate will continue going ahead?

No, it will be in the same region. Annually if you compare, it will be in the same range.

Sure, sir. Thank you, sir. If you have any other questions, I will come back in the queue. All the best.

Next question is from Shweta Dikshit from Systematix Group. Please go ahead.

Hello. Thank you, sir, for the opportunity. Question is regarding the EBITDA per ton margin. I mean, could you reiterate the margin for DI pipes and federal alloys for the quarter in terms of EBITDA on a per ton basis? Also, post-expansion, how are we looking at the margins evolving? Like by FY '26 '27, what can be the EBITDA per ton expected out of these segments? And I missed your guidance for FY '25 and '26 for the segments, volume guidance. Could you please repeat that? Thank you.

Madam, as we just said, is that the margins in the ductile iron pipe would be the region of around 22% to 25%. And in the specialized Ferroalloys, also 20%. In terms of volume guidance, for ductile alloys, we are looking to produce around 4 lakh tons in the forthcoming year there is FY '25.

And in FY '26, we are looking to produce around 6 lakh tons. And as far as Ferroalloys are concerned, we are looking to produce around 1.5 lakh tons in the forthcoming year. With the capacity going up to 1.9 lakh tons, we expect to produce 1.9, 1.8 lakh tons in the FY '26.

And so, what is the outlook on, I mean, how the steel prices have, remained range-bound, barring some uptick in the prices in this quarter. But if the prices fall further, what is your view on it? Will we still be able to, maintain margins or what could be the impact of that?

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Madam, One thing I would like to emphasize is that we are making steel products now. We are now no more of a commodity company by and large. As we have mentioned earlier in the presentation also, that our sales of specialized products was only 25% two years ago, which has increased to 50% this year.

Going forward, we are looking to raise it to 80% to 85% to 90%. So, basically, what we are talking about is that we are making products out of steel, which we are manufacturing in house. But we are no more a commodity player. So, as such, if you are saying that as such, the prices of the commodities going up and down will not be impacting the margins.

Maybe there will be a long-term adjustment in the final prices of the finished products depending upon the cost of production of steel or the sale prices of steel. But then the margins will remain intact. Entire for all of us.

Okay. Thank you, sir.

Thank you. The next question is from Sidharth Jain from Yes Securities. Please go ahead.

Hi. Good afternoon, sir. Firstly, congratulations. A couple of questions from my side. So, you have already mentioned your guidance for FY '25 in your presentation. But if you could just give us some more details on the same, that would be helpful. And if you could guide on your Ferroalloys Production Numbers for FY '25.

Raj Kumar Sharma: I'll answer you about the Ferroalloys Special Grade. This year, we have completed with a production of 34,350. The Special Grade and the Normal Grade is 81,000. And what was the first question?

Sidharth Jain: And what would be your production number for FY '25? Any guidance on that?

Raj Kumar Sharma: In Ferroalloys, we'll be increasing capacity by around 30,000 this year. So, roughly the same level of capacity utilization. Last year, we achieved around 76%. We'll achieve the same level.

Sidharth Jain: All right. So, my second question is, So, the break-up of your Normal Grade Ferroalloys and your Special Grade Ferroalloys will also remain the same going forward?

Raj Kumar Sharma: We'll try to increase the Special Grade Ferroalloys. That all depends on market and the demand, which is currently being increased. It is showing an increasing trend.

Sidharth Jain: Got it. But any target...

Raj Kumar Sharma: We are the fourth-largest exporters out of India.

Aditya Jajodia: I understand what Sharmaji is saying. See, what is happening is that the Special Grade of Ferroalloys is a very new product for India as a whole. What has happened is that to establish the market, it has taken us more than four to five years. Currently, we are exporting to 40 countries. f t J A I B A L A J I I N D U S T R I E S L I M I T E D

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Aditya Jajodia:

Shweta Dikshit:

Moderator:

Sidharth Jain:

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Sidharth Jain:

Aditya Jajodia:

Sidharth Jain:

Aditya Jajodia:

Sidharth Jain:

Aditya Jajodia:

Moderator:

Parth Modi:

Raj Kumar Sharma:

Parth Modi:

Moderator: And with the passage of every month, every quarter, the confidence of our buyers, it is increasing multifold. So, currently in our mix, whatever mix we have given you, is that in this mix, the contribution and the share of Special Grade Ferroalloys will be continuously increasing because the customers have potential to buy more.

But many customers are still not buying 100% of the requirements from us because we are literally new suppliers to them because we are the only export out of India for these products. So, they need to establish some more confidence. It will take a couple of more quarters, three quarters more. So, it is not a one-day match. It is a long haul. So, here also the share of the Special Grade Ferroalloys will be increasing Q-on-Q.

Got it, sir.

One more thing we would like to add over here is that the share of the Special Grade Ferroalloys has increased 80% over last year.

Got it, sir. Noted. Lastly, from my end, as you have mentioned that there is a INR1000 crores capex that you will have planned for the next 15 months. So, anything post that, any other

capex plans that you all have on the table or any discussions that you can help us with post the 15 months with INR1000 capex?

See what is happening is that currently the management is very focused to complete this particular capex plan. So, as of now, we would not like to give any guidance of further capex till the time this particular project are completed and the company is able to reap the fruits and the benefits of this particular capex. We will not be in a position to do any further capex. So, as of now, there are no further plans immediately.

Perfect. That was helpful, sir. Wish you all the best. Thank you.

Thank you.

Thank you. The next question is from Parth Modi from Equiris Securities. Please go ahead.

Hi, sir, and thanks for the opportunity and congratulations on the great set of numbers. I had only one question that why the other income has gone so up and can you please give us the breakup of the same?

If you see our last balance sheet there was a lot of provisions which we had made and those provisions have been reversed. Those were not required and the other expenses also has gone up. So, certain provisions have been made into other expenses and these provisions have been clubbed into other income as per accounting.

Okay, sir.

Thank you. Next question is from Yogesh from Authum. Please go ahead.

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Yogesh:

Aditya Jajodia:

Yogesh:

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Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Aditya Jajodia: Good afternoon sir. Am I audible?

Yes.

Sir, just to understand the DI pipes basically. So as we know that we are integrated player in DI pipe. So I just wanted to know and on an EBITDA per ton basis what would be the difference between a non-integrated and integrated player in the DI pipe segment in terms of EBITDA per ton?

The difference could be as high as around 8% to 10%.

Okay, 8%, 10% between an integrated and non-integrated data?

Absolutely.

And we have about 9% to 10% market share in the DI pipe segment. So how much of the total industry of DI pipes in India would be non-integrated players?

Can you please repeat the question?

So we have a market share of about 9%, 10% in the DI pipe segment in India. So out of the total universe or out of the total industry of DI pipe in India, how much would be contributed by non-integrated players?

See, integrated and non-integrated would also have different levels of integration and non integration. So what I would like to say is that what we can mention is about our company is that our facilities are fully integrated and they are all integrated at the same location itself. So that also gives a very big advantage.

For example, there could be players who are integrated but they have the integration at some other location where there would be a great disadvantage. So the different players would have different levels of integration, different types of integration. But if you talk about total integration at a single location, ours would be one of the very few companies.

So what would be the contribution of such players to the overall industry where they are integrated at one location only? So what would be their contribution out of the total industry? It would be around 50%.

50% okay. And sir, one more observation like if I compare TMT with DI pipes. TMT, we see a fall in realization of about 16% Y-o-Y and again 2% on Q-o-Q basis while DI pipes there has been an increase of 23%. So what is the different dynamics playing in both these TMT versus DI pipes?

We will explain. TMT basically this is exactly what we have been trying to emphasize. TMT is a segment which has been made by hundreds of players in the country. So it is a pure commodity segment. So the steel prices they have softened since last year. So that is why the

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Yogesh:

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realization has TMT. So the commodity prices have come down. TMT prices they have also come down. But in the case of DIP since it is not a pure commodity pay, but a value-added product player yet the prices have actually not come down and they have increased.

So what would be the EBITDA per ton in TMT segment if I can get a range in TMT segment, what would be the EBITDA per ton?

In TMT segment EBITDA would be ranging in different quarters ranging between around 7% to 10%.

Yogesh:

Aditya Jajodia:

Yogesh: Okay, 7% to 10%. And sir lastly on the realization, so DI pipes the realization increased in one year from 68,000 per ton to about 84,000, 83,500. So do we expect sustaining around current levels or it will try to revert to where it started from?

See, the order book which we have in hand as of now and the demand projections which we are seeing what we are looking at is that we should be able to maintain this guidance. There may be a correction of 2% to 3% in the prices.

Sure. And lastly on the installation so from about INR54,000 per ton last year to about INR45,000 it is continuously declining. So do we see a decline going forward in realization per ton?

Aditya Jajodia:

Yogesh:

Aditya Jajodia:

Yogesh:

Moderator:

Ankur Kumar: For the decline or increase in price of steel prices this is a very macro subject. It is a very global subject. So what we are seeing is that globally there are two trends emerging. One is that steel price, they have softened globally, but in India what you see on the contrary is that in the last two months in spite of the global prices softening the prices of steel they have in fact gone up.

So these are factors actually where the global prices as well as the local demand so whichever will prevail, accordingly the prices will react. So to make a long-term projection of the prices and the demand of steel this is a very difficult job to do actually.

Sure, sir. That is very helpful.

Tata Steel and SAIL and JSW can come on better on this I think. They are the larger commodity players.

Sure, sir. That is very helpful. That's all from my side.

Thank you. Next question is from Ankur Kumar from Alpha Capital. Please go ahead.

Hello, sir. Thank you for taking my question. Sir, I wanted to inquire on this other income only. So you are saying that this is like provision reversal. So can you comment how much was it for the provision reversal?

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Raj Kumar Sharma: As far as the provision, the other income provision which was reversed it was around INR110 to INR150 crores were reversed on account of...

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Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Raj Kumar Sharma:

Ankur Kumar:

Moderator:

Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia: So, sir in terms then if I remove these others income there is a margin reduction from 14% to 13% is it right and can you comment on that please?

The actual reversal was around INR180 crores.

In that case, sir, was there a margin reduction compared to the last quarter of Q3?

Margin reduction was not there. It was in the same region, 13%-14%.

Got it, sir. And, sir, on the tax rate, what should be our assumption for FY'25 tax rate?

Tax rate, we have carried forward losses. So probably, we will, for the next financial year, we have close to INR1,000 crores of carry forward losses which will be used.

So this year, I think our tax rate was close to 9% or so, the one which came in income statement. So that should continue 9%-10% only?

That was deferred taxation which was reversed, which we had in our balance sheet. It is a non cash item.

Okay. Got it, sir. Thank you and all the best.

Thank you. The next question is from Majid Ahamed from Smart Sync Investment Advisory Services. Please go ahead.

So for my first question is, what is your current order book? And like how much of the order book is from the government side?

See, the order book currently for ductile iron pipes, it is in the region of around 10-12 months of the current capacity. And out of this, around 35% would be government orders.

So the next is, we're also looking to diversify into export markets.

You're not audible, Mr. Ahamed.

Yes, sir, I'm audible now. Now I'm audible, sir?

Yes, now you're audible.

Okay, sir. So my next question is, what's your plan, especially going to the export markets?

Because you're also looking at Africa. What's the current update on that?

See, the plan for the export market, we have a long-term plan. But currently what is happening is that the demand locally, it is very, very robust. And the government is very keen that the

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Majid Ahamed:

Aditya Jajodia:

Majid Ahamed:

Aditya Jajodia:

Moderator:

Majid Ahamed:

Raj Kumar Sharma:

Majid Ahamed:

Raj Kumar Sharma:

Majid Ahamed:

Moderator:

Gunit Singh: infrastructure projects are completed on time. And since there is a scarcity, so our first responsibility, it is towards supplying the pipes in India.

We have a very small export market also, which with the expenses coming on stream by next year. From there, we will be moving deeper to the export markets. But immediately in the near future, we are not looking at expanding very aggressively in the export market.

Okay, sir. So my last question, sir, is that, so you are also saying that you're trying to reduce your power cost maybe through green energy and so on. So can you expand on that? Are you planning to install something [0:35:36]?

You are not audible, Mr. Ahamed. Can you please raise your voice?

Yes, sir, now I'm audible, sir. Sir, my question is, so you also said you're also going to reduce power costs and making it more cost-optimized. So is there any capex made on that side, maybe installing some other, maybe renewable energy on that side, like as you're saying about the green energy, is there any plans on that side?

Mr. Ahamed, we cannot hear you properly.

Mr. Ahamed, if you're on a hands-free, request you to use the handset.

Yes, sir. So my question is, is there any plans to reduce the costs on green energy you had said earlier? Any capex on that trend to reduce your energy costs?

So with regard to green power, we are putting up another BFG boiler, for which 50% of the work has already been completed. And we shall be completing the same in the next six months. And this year, we will be able to produce more green power out of that.

And what is the financial projection of this? Financial implication, like how much costs can be reduced?

So the BFG boiler cost was estimated at around INR30 crores only, and out of which, around INR13.3 crores was spent up till March '24, and the balance will be spent in the next six months.

Okay. Thank you, sir. All the best.

Next question is from the line of Gunit Singh from Counter Cyclical PMS. Please go ahead.

Hi, sir. You mentioned that we have moved from a commodity business to a more specialized business, and that is what the future outlook also is. So our margin used to be about 1% to 5% around 4-5 years back, which we are seeing now to be around 14%. So I just would like to understand what kind of steady-state margins should the company expect going forward?

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Aditya Jajodia:

Gunit Singh:

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And I also want to understand, how would our margins react to changes in steel prices? For example, in futures, in FY'26, steel prices fall by 50%. So how should that affect our margins directionally? That's what I would like to understand.

We didn't understand your question properly. Can you please repeat this question once again?

So, basically, I want to understand the steady-state operating margins the company expects in future. In the past, we saw that we had about 1% to 5% operating margins about 3 to 5 years back, which are now at about 14%. And you mentioned that the company has moved from more of a commodity business to more specialized products.

So I would like to understand what kind of margins can be maintained and how would our margins move in future with changes in steel prices? So, for example, say in future if steel prices fall by 50%, what kind of minimum operating margins can the company still expect to operate in?

Yes, we'll explain. See, with the guidance given by us, so we've been repeating this continuously, is that we're looking at expanding our margins to 18% to 20% by the time the entire capex plan is completed over the next 15 to 18 months. So this is the guidance for the future. So this is the first part of your question.

Coming to the second part of your question where you're asking, what will happen to the margins if the steel prices are to come down? See, even if the prices are to come down, the margins will not come down. In fact, the margins will go up if the prices of the steel is to come down. Because we are making the products where we are selling at, I will say, where the prices are linked very much to the prices of the demand and supply, not so much as to the prices of steel.

Gunit Singh:

Aditya Jajodia:

Gunit Singh:

Aditya Jajodia:

Gunit Singh:

Moderator:All right, sir. So what kind of minimum steady-state margins can we expect even in an adverse scenario going forward according to the management?

That is what we've been studying so far is that the guidance or the conservative basis that is going to be 18% to 20%?

All right. This is not just for next year, but this is for coming, say, 4 to 5 years?

Yes, obviously.

All right, sir. That's all from my side. Thank you.

Thank you. Next question is from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Namaskar, sir, and thank you for the opportunity. Firstly, Sharmaji, if you could just explain the impact of the reversal in terms of the other income and also its impact on the other expenses, just to keep it in a comparative number to Q3, what should be the likely number?

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0 J A I B A L A J I I N D U S T R I E S L I M I T E D

Jai Balaji Industries Limited

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Raj Kumar Sharma:

Saket Kapoor:

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Saket Kapoor:

Raj Kumar Sharma: Comparative number to?

Q3. If we compare the numbers in Q-on-Q, if we net off your exceptional income and expenses, then what should be the net impact?

The net impact, the non-cash impact is INR137 crores. I don't have the figure in front of me, but it was close to INR137 crores.

Okay. When I am referring to page number 18 of the investor presentation, we are looking at our EBITDA down 2% even on a higher revenue, Q-on-Q. So what explains this referring to page number 18?

The sale prices of certain products have come down in Q3, Q4. Because of that, the margin has come down.

Okay. And sir, Adityaji, now with the expansion kicking in for the DI pipe, what should be the quarterly run rate for the DI pipe for this financial year, FY'24-'25?

This year, in FY'24-'25, we will be achieving a production volume of close to 4 lakh tons. And we will be seeing incremental gains quarter-to-quarter.

Okay. Sir, now we are producing for INR69,000 and selling for INR66,000-INR67,000. So, what should be the likely number in terms of -- it should be proportionate or in the second half, there will be a bump up in the volume. That is what I want to understand.

Q-on-Q rise every quarter, starting from quarter 2.

Come again, sir?

You will see a rise in production every quarter, starting from quarter 2.

Quarter 2. So quarter 1 is on similar line in terms of -- the capacity benefit will kick in from quarter 2. That is what your understanding is.

We expect to increase by up to 4%-5% compared to Q4 of last year. So our first plan has already been commissioned in the month of February. So we have seen some gains in quarter 4. In Q1 also we will see more gains. And our next phase will be commissioned in Q2. So every quarter, you will be seeing incremental gains.

Okay. Sharmaji, what should we read into this high trade payable of INR858 crores and also this other current liability of INR264 crores? Why are these so high numbers when we look at our repayable part? Why are the numbers so unevenly balanced? Correct me there, sir.

I would like to clarify that the trade payable number will also be coming down since the company does not have any bank credit facilities. The company is growing with the support of its creditors as well as the support of its buyers. So these numbers will be high right now. But on Q-on-Q basis, it will be coming down in the next quarter itself.

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Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

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Okay. And on the other current liabilities part, that has gone down from INR400 crores to INR265 crores. So what are the key constituents?

As conveyed by [0:44:35], there have been certain provisions which have been made in the earlier year. It got reversed in this quarter. So we are expecting that the other current liabilities figures will be more or less in line with this quarter in the coming quarters.

Right. Adityaji, you have been alluding to the fact about the ferroalloy segment contributing to around 50% margin. Who are its end users? Who are our main buyers? And what is the client concentration in this product?

You need to repeat that question. Actually, it was not audible.

I will repeat it. As Mr. Aditya has mentioned that for ferroalloy, we are enjoying a margin of 50%. Correct me there. Who are our end users? And is there any client concentration or any concentration in the geographies where we are getting to?

One second, please. Margin was not 50%. We have said..

Yes, please.

It was not 50%.

Okay, sir. Correct me, sir. What is the margin?

Yes, sir. Margin will be around 22%-25%.

Okay. And, sir, who are the end buyers? Like you said, we are making a specialized ferro alloy which we charge a higher premium. So, who are the buyers? And, Mr. Aditya, if we look at the peer comparison globally, who are we competing with?

There are two parts to this question. Buyers are very varied in the world. There are some big buyers too. Like in India, there is JSW Steel, ArcelorMittal. These are big buyers. If we go to the world, then in Japan, there are automobile manufacturers. The founders of aerospace industry same for Europe and America. So the large steel players are also there. And other than that, there are very small founders.

People who have very rich applications. And where the steel is made for the application in the aerospace industry, in the defense, oil drilling etc. So there are such users too. So the buyer will say that the buyer's spread is very global. In the developed countries only. And in India its demand is increasing gradually. So if the buyer says, then there are also big steel producers in the world. You can say the name of [46:41.9 Chandshan Mittal].

Understood. So it is all for the value added products only this carol is going through. The value added steel. So that will pay...

Aditya Jajodia: This goes in highly added steel.

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Saket Kapoor:

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When we look at our Chhattisgarh unit, how is this getting integrated with our Bengal unit and how will this serve the purpose of integration as you were explaining to us?

The Chhattisgarh unit is in an entirely different geographical region, it is very far from Bengal, there is no link between Bengal with this and the vertical is also different. See, the value of the product is being made in Bengal. Other products of the company are also there, which have sponge iron and billets. So, they make billets from sponge.

So, the space of the sponge, iron and billets is a commodity. And this can be called as margin dilutive, in comparison to the DI pipe and ferroalloy product which we are giving full thrust

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Moderator:Absolutely.

So, going ahead, these segments of ours, Pig Iron is still going into integration, but other than that, what will be the future of the external sales? We will continue to sell in this geography and what is the thought process for that?

I am telling you clearly. Hello, what we are saying is that in the next one and a half years, 80%-85% of the company sales will be valued added products going forward, the percentage of valuated products in the total product market will be around 80%-85%. So, the 15%, 20% of the non-valuated products will be products like sponge iron, etc, which we are selling for Chhattisgarh also. So, we are not closing down those modules. Though they are, I will say, EBITDA dilutive in terms of the very highly-valuated products, but they are not EBITDA negative. They are still EBITDA positive and hugely positive. So, we will not be diluting those divisions.

Right. And, lastly, Sharmaji, on the capital work in progress, this entire 116 will be capitalized by the quarter 2 with the DI pipes expansion getting commissioned?

It will take three quarters. Something will be capitalized in the first quarter, second quarter, and probably next year, first quarter, the entire expansion will be completed. The current year, close to INR250 crores-INR300 crores capex will be completed.

Sir, last line I missed completely.

Around INR300 crores of capex will be done in the current financial year.

So, okay. That will be the closing capital work in progress for FY'25. Hello?

Yes.

Right. And, last point on the deferred... Yes, I'll join the queue, sir. No issues.

Thank you. Next question is from Shweta Dikshit from Systematix Group. Please go ahead.
Shweta Dikshit: Thank you, sir. My question is answered. No more questions from my side.
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Moderator:

Saket Kapoor:

Raj Kumar Sharma:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia: Thank you. Next question is from Saket Kapoor from Kapoor Company.

Yes, sir. I was just referring to the deferred tax asset and you mentioning about we are having a carry forward by loss up to the tune of INR1000 crores. So, there will be no tax incidents, cash outflow till the balance gets cleared or we will be paying mat on the profit that we will be making during this period?

We are into new regime that is not applicable over there as far as carry forward losses is concerned, close to INR1,000 crores of carry forward losses remain in the company which will be utilized in the current financial year probably. As far as deferred tax asset is concerned, around, if I remember it correctly, INR250 crores of deferred...It will get reversed. In the balance sheet, it is around INR200 crores still left which will be reversed and sold in the PL, charged in the PL this year only.

Right. Aditya ji, you mentioned about a strong growth in the VIP segment and we are expecting 30% to 15% growth for the coming 2-3 years. So, currently, if you could give us some understanding how is the bid pipeline looking? What is the current installed capacity for the country and including you and other players, what are the new capacities that will hit the market for FY'25 and FY'26? Any ballpark number you would like to share?

See, the current capacity, operating capacity, it is around 35 lakh tons approximately. So, different manufacturers are adding different capacities in different timelines. So, we are expecting over the next 2 years, this capacity to grow to approximately around 4.5 lakh tons to . Sorry, to around 45 lakh tons.

So, from 35 lakh tons to 45 lakh tons will be the expanded capacity in 2 years?

Yes, you have to measure one thing. Adding the pipe capacity, it is not very easy because the pipe capacity for an integrated player, the pipe capacity is only the finishing line. But behind that, you need a black furnace, you need a sinter, you need a coke oven. It is a fully integrated steel facility where pipe is one of the products. So adding the capacity, it is not an overnight job.

Right, sir. And if you could give some more on the bid pipeline, what is the demand outlook in terms of the government bid pipeline pertaining to the AMRUT scheme, the JAL SE, NAL scheme and all? What is the traction you are seeing in the bid pipeline look like? So, how will this -- this capacity should get absorbed easily or not? That is only my question.

Capacity will be very easily absorbed because there is huge work pending and it is still pending. So, actually, water is a very, very important resource for any nation. So, in India, what we are right now talking about in the JAL JEEVAN mission and the AMRUT scheme, it is only the first leg of the implementation where the water can be provided to each and every household.

Still, those schemes to be fully implemented, it is around 2 years to 3 years away. After that, there is also incremental demand coming from irrigation. There is incremental demand coming
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Saket Kapoor:

Aditya Jajodia:

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Aditya Jajodia:

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from housing colonies, incremental demand coming from industries. So the demand will be there. So the demand projection, it is very, very positive.

Okay. That will also involve the reverse linking project also. That is also in the pipeline as you are referring to.

Not just that. The DIP has still not been revealed. That is why it did not be -- that is why we did not name it.

Okay. But that is also a big demand driver going ahead?

Absolutely. Big demand driver.

Right. So what should be the bid pipeline?

What should be the .?

Bid pipeline. If on a nameplate capacity of 3.5 million, what should be the bid pipeline for this year and the coming years should likely be?

The bid pipeline is very large. The bid pipeline will be at least 50% to 60% more than the demand because the tenders take time to get finalized also. Already if we talk about this year, the amount of help that we have, already for this particular year, the bid pipeline, it is more than the small capacity. But the tenders do not get finalized overnight also.

Right. If the time permits, my last concluding remark on the export part. With 6 lakh tons of our capacity coming up, we will look to export DI pipe also going ahead or we will be solely concentrating to the domestic market?

Our focus for the next two years, it is going to be highly I will say focusing on the domestic industry because the demand in India is very large and we also have a social responsibility to first cater to our own country's demand. Number one.

Number two, in the export market, we have a very small market share and in the export market, we will be venturing out maybe after 18 to 24 months once the entire capacity program is complete.

Right. And on the raw material mix, the coking coal and iron ore, the price trend for the same, how will the price behave Q-on-Q basis for the coking coal and raw material?

You're not clear.

Sir, I was looking for the raw material basket prices of coking coal and iron ore. How have they fared for the fourth quarter?

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For the fourth quarter, the raw material prices means the raw material prices, they always vary with the global trends. So iron ore prices, they had suffered. Again, they have gone up very recently. Coking coal prices, they also corrected in Q4. But now, again, the trend is slightly up. So iron ore, coking coal, thermal coal, these are raw materials which will keep on fluctuating Q-on-Q. Fourth quarter, we got a little advantage. Currently, they have dipped a little up. So these things will come up. So these things, these prices of raw materials, these prices cannot be predicted, but then these will be ups and downs in the market always.

Saket Kapoor: But there is no significant variation. That is what we can conclude.

Aditya Jajodia:

Saket Kapoor: Yes.

Okay. Thank you Adityaji and Sharmaji for elaborating and answering to our questions and all the best to the team. Thank you and Namaskar, sir.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Aditya Jajodia: Thank you everyone for joining the call today. We trust that you have addressed all your queries to your satisfaction. If you have any other remaining unanswered questions, please do not hesitate to contact our investor relationship agencies, Go India Advisors. They will be more than happy to assist you further. Thank you so much once again. Thank you.

Moderator: Thank you very much. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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Call: Aug 2024

% JAI BALAJI INDUSTRIES LIMITED

Ref : JBIL/SE/2024-25

Date : 03-08-2024

To

The Manager

Listing Department,

National Stock Exchange of India Limited

"EXCHANGE PLAZA", C-1, Block G

Bandra—Kurla Complex, Bandra (E)

Mumbai — 400 051

(Company's Scrip Code: JAIBALAJI)

Dear Sir/Madam, To

The Manager,

Dept. of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai — 400 001

(Company's Scrip Code: 532976)

Sub: Transcript of the Earnings Con-Call held on 31* July, 2024

With reference to the captioned subject, please find enclosed the transcript of the Earnings Con-call for Q1FY25 held on July 31, 2024. The transcript is also available on the Company's website at www.jaibalajigroup.com.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Jai Balaji Industries Limited

A Ajay Kumar Tantia

Company Secretary

Regd. Office :

'@: JAI BALAJI INDUSTRIES LIMITED

"Jai Balaji Industries Limited

Q1 FY 25 Earnings Conference Call"

July 31,2024

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&Y Jai Balaji Group o A Go India Advisors y

MANAGEMENT: MR. ADITYA JAJODIA — CHAIRMAN AND MANAGING
DIRECTOR — JAI BALAJI INDUSTRIES LIMITED

MR. RAJ KUMAR SHARMA — JOINT CHIEF FINANCIAL
OFFICER — JAI BALAJI INDUSTRIES LIMITED

MR. VIJAY BAGRI — PRESIDENT FINANCE — JATI BALAJI
INDUSTRIES LIMITED

MR. AJAY TANTIA — COMPANY SECRETARY — JAI
BALAJI INDUSTRIES LIMITED

MODERATOR: MS. SANA KAPOOR — GO INDIA ADVISORS

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Moderator:

Sana Kapoor:

Aditya Jajodia: Jai Balaji Industries Limited

July 31, 2024

Ladies and gentlemen, good day and welcome to the Jai Balaji Industries Limited Q1 FY 25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. And I'll hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you and over to you ma'am.

Thank you Neha. Good afternoon everybody and welcome to Jai Balaji Industries Limited Q1 FY 25 Earnings Call. We have on the call Mr. Aditya Jajodia, Chairman and Managing Director, Mr. Raj Kumar Sharma, Joint CFO, Mr. Vijay Bagri, President Finance and Mr. Ajay Tantia, Company Secretary. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces. May I now request Mr. Aditya Jajodia to take us through the company's business outlook and financial highlights, subsequent to which we will open the

floor for Q&A. Thank you and over to you sir.

Thank you Sana. A very good afternoon to all ladies and gentlemen. We are extremely pleased to welcome you all to our Q1 FY 25 Earnings Call. Our investor presentation, press release and the financial sense have been uploaded on the exchanges and we hope that you have had the opportunity to review it. I am pleased to announce that Jai Balaji has started FY '25 on a very strong note with its highest ever adjusted EBITDA, an adjusted EBITDA margin of INR2S crores and at 19% respectively.

Our efforts are closely aligned with the goals set in Jai Balaji 2.0. We aim to focus on value-added and specialized products such as DI pipes and specialized ferro alloys while also strengthening our balance sheet. Jai Balaji is expanding the capacities of DI pipes and ferro alloys to increase the contribution of these products from the present 45%-50% to 80%. I am also delighted to report that we have achieved our targets of increasing capacity utilization above 90% and expanding the EBITDA margins to the range of 80%-20%. JVIL will now work to maintain this performance going forward. The company also aims to

be

net-debt free within the next 12 months and plans to undertake the capex of INR1,000 crores from internal accruals entirely and out of this INR1,000 crores of capex, around 685 crores has already been incurred by internal accruals till Q1 FY '25.

Before discussing the financial and operational performance, I would like to highlight the following. The updates on the capacity expansion plans. We are planning to increase our DI pipes capacities from 3 lakh tons to 6.6 lakh tons. In this, 1.4 lakh tons is expected to be commissioned in FY '25 and the capacity of 2.2 lakh tons is expected to be commissioned in FY26, bringing the total DI pipe capacity to 6.6 lakh tons immediately in the future. Ferro alloy capacity will be increased from 1.66 lakh tons to 1.9 lakh tons and is expected to be commissioned by FY '25. One of the blast furnaces has already been revamped and

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commissioned in FY24 and the completion of the second blast furnace is anticipated in Q1 of FY26.

Post this revamping, the capacity will increase from 6.3 lakh tons currently to 7.5 lakh tons. Additionally, the capacity of sinter has been raised to 9 lakh tons in FY24 and the balance 3 lakh tons per annum is expected to be commissioned in FY '25. With this, the total sinter capacity will increase to approximately 12 lakh tons per annum.

The company is also in the process of setting up a blast furnace waste heat gas boiler of 35 TPH. This green energy project aims to reduce carbon footprints by integrating it into the captive power plant to optimize the utilization of waste gases from the blast furnace. The project is expected to be commissioned within the next two months.

For more information, you can kindly refer to slide number 13 of the investor presentation.

Updates on the capex plan We earlier announced a capex plan of around INR1,000 crores for the capacity expansion plan discussed just now and out of this INR60S crores has already been incurred and the balance INR395 crores is expected to be incurred over the next 12 months. As we have mentioned that all this capex has been done through internal accruals and our guidance for FY 25 capex is INR300-350 crores and Q1-25 we have spent around INR108 crores.

The company is also making substantial strides in its net debt reduction strategy. In Q1-25, the net debt of our company decreased to INR384 crores from INR871 crores in FY23. This debt is associated to Tata Capital Ltd. and its sole lenders and we are optimistic that within the next 12 months we will achieve our goal of becoming a net debt free company. Our FY 25 guidance is to reduce net debt to INR225-INR250 crores by the end of FY '25. The company is also very much dedicated to reducing squads by boosting operational efficiencies including the ownership of three railway settings and having captive power facilities.

Coming to the operational performance, production of all the products showed increasing trend on year-on-year basis. The production for TMT, ferro alloys and DI pipes increased by 18%, 39% and 4% to 60,000 tons, 34,000 tons and 64,000 tons respectively. Similarly, sales for TMT bars, ferro alloys and pipes increased to 58,000 tons, 19,000 tons and 61,000 tons, up 16%, 19% and 4%, respectively, on year-on-year basis. Realization of ductile iron pipes showed an increasing trend of 10% year-on-year to INR77,000 per ton whereas the realization of ferro alloys dropped by 5% to INR1,71,000 per ton, respectively.

Coming to the financial performance, revenue for the quarter increased by 16% year-on-year to INR1,718 crores. Once again, I am free to share that Jai Balaji has achieved highest ever EBITDA which has increased to INR325 crores which is 58% more year-on-year and EBITDA margins of 19% in Q1 FY25 compared to 14% in Q1 FY'24. The PAT also showed a significant increase of 23% to INR209 crores compared to INR17

0 crores earned in Q1 FY'24.

Similarly, the PAT margins showed a jump to 12%. Overall, the performance in Q1 '25 has been outstanding on both operational and financial fronts.

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Moderator:

Vikas:

Aditya Jajodia:

Vikas:

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Management:

Vikas:

Aditya Jajodia:

Vikas:

Aditya Jajodia:

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In conclusion, I would like to say that the company is well-positioned for growth, supported by strong industry tailwinds in the ductile iron pipe industry and the specialized ferro alloys and also robust capacity expansion plans, low-cost capex, a very healthy balance sheet, fully integrated operations mixed with cost reduction strategics, experienced management and backing from all the stakeholders. We are very positive about maintaining this momentum that we picked up in Q1 25 and continue to provide exceptional results in the future also.

We can now open the floor for questions.

The first question is from the line of Vikas from PhillipCapital. Please go ahead.

Good afternoon, sir. Thank you for the opportunity. Sir, just wanted to understand if you can give the EBITDA part separately for the DI pipe as well as ferro alloys for the quarters.

Yes. For DI pipe, the EBITDA per ton was INR21,000. For ferro alloys, it was INR37,000.

And T have the numbers for pig, TMT, sponge also. Pig iron was INR7,000. TMT bars was INR6,000 and sponge iron INRS,000.

Thank you, sir. And sir, given the iron ore price is going down as well as even coking coal prices was supposed to be lower in 2Q, can we expect that DI and steel EBITDA per ton both can go further up or this would be different?

The price of ductile iron pipe will be adjusted because of the raw material prices going up.

Definitely. Temporarily, there will be some shortage. And as far as DL, for ductile iron pipe, the iron ore, cost of iron ore going into ductile pipe is not much. So it will not significantly impact the profitability of ductile iron pipe.

What you were asking about coking coal, since the prices of coking coal also started to come down, we normally have an inventory pipeline or order pipeline of coking coal around 4 to 5 months. So for any, I will say, negativity or positivity to be factored into the P&L, it will take around 4 to 5 months. Weak lag will be there.

Understood, sir. And sir, as you said that the ferro alloy blended EBITDA per ton around INR37,000. What is the break-up between the normal and specialized ferro alloy in that? And how should we look at the difference between the two in terms of EBITDA per ton?

Whatever other people are producing, you will get. Because we are not sharing the specialized grades separately. And we are only handing out or giving out the standard numbers.

Understood. Sir, lastly, on that sinter capacity increasing, in terms of our cost of production, how does it impact us, if you could give us some idea about that?

Can you please repeat your question? We are not clear about your question.

Sir, in terms of sinter capacity which we are enhancing, how does it change our current cost of production, savings per ton basis, what are we expecting once it is fully ramped up?

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Aditya Jajodia: So, sinter is a replacement of iron ore in the blast furnace. And approximately INR1.5 per kg, sinter is cheaper than iron ore. It is a replacement of pellet and lumpy iron ore, sinter.

Vikas: Okay, sir. And sir, any volume guidance which you would like to give us?

Aditya Jajodia: Volume guidance for ductile iron pipe, we should finish this year in the region of 4 lakh to 4.5 lakh tons. And ferro alloy, we will have the capacity of 1,90,000. But roughly the numbers will be in the range of what we have done in the first quarter. But the blend of evaluated product and the specialized grade product will go up.

Vikas: U

nderstood, sir. That's all from my side. I will come back in the queue if T have further follow-up questions.

Moderator: The next question is from the line of Manav Gogia from Yes Securities Limited. Please go ahead.

Manav Gogia: Yes, thank you for the opportunity and congratulations on the numbers. So my first question comes on the capex plan. Like you mentioned, out of the INR1,000 crores, roughly only INR395 crores is left pending. I wanted to know, has the management decided on any new plans once this capex is over?

Aditya Jajodia: See, as of now, our guidance remains restricted to the INR1,000 crores. The first focus of the company will be to complete this particular capex plan. So, as of now, our guidance and our plans remain restricted to this.

Manav Gogia: Okay. And I think the guidance for FY'25 for the total capex also stands at INR350 crores. Could you just quantify the number of capex that was done during Q1?

Aditya Jajodia: Q1 was INR112 crores.

Manav Gogia: INR112 crores, okay. And sir, my second question is pertaining to the realization trends, especially for DI pipes and ferro alloys. If you look from a Q-on-Q basis, there has been a fall in the realizations for both of these products. Could you just give a guidance on where do you see these sizes going from the Q1 figures and how is Q2 also shaping up in this particular trajectory?

Aditya Jajodia: The prices are minor changes. We generally see the price on a year-on-year basis that's more or less stable and we expect that prices will be stable for DI and the ferro on a year-on-year basis. Generally, Q4 some prices vary because of robust demand on the year-ending. On an annual basis it will be similar levels.

Manav Gogia: Okay. If I could just ask one more question out over here. I wanted to talk about the other income part when it comes on your numbers. So if I look at the standalone numbers for Q4 and Q1 of this particular year given there is a significant drop in the other income. Can you just let me know what this change was? Was it like a one-time item that happened in Q4?

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Definitely, you have answered the question. Those were the one-off items, extra provision which we had taken in the earlier years and those were written off. Sorry the provision came into the other income and I think that is it. In the first quarter there is other income of only INR77 crores to INRS crores if I can see it. So, that was a one-off item which was taken in the fourth quarter.

Okay. Thank you so much. I will join the queue if I have more. Thank you so much and all the best.

Thank you. The next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.

Hi, good afternoon sir. Thank you for the opportunity and congratulations on a good set of numbers. My question is around the realizations only. So as you mentioned that because of strong 4Q the prices realizations were higher. Could you also throw some light what were the margins for DI pipes and Ferroalloy in the fourth quarter like you mentioned 21,000 for 1Q. What were the margins in the fourth quarter?

At first I don't have the numbers in front of me, but somewhere in the region of 1,000 to 2,000. Better than what it was.

So sir if we see realizations falling from here based on the movement in raw material prices especially coking coal, so what kind of margins are we looking at for the next new quarter?

Well, for ferroalloy definitely the increasing of the crystallized grades, the blended margin will increase. As far as ductile this is probably good enough for 21,000 that we have got and plus minus 500 that is the realization the order book would be the same price that we have taken.

We have an order book of 6 months. Realization is coming not much.

Could you repeat once again there was a disturbance in between for DI pipes you are saying? Realization of ductile iron type in the range what we have got in the first quarter because the order book position of 6 months to 7 months that we have is the same price level. As far as cost is concerned we have inventory also. So cost will also be in the similar lines. So we think that for the next two quarters 21,000, 22,000 plus minus 500 will be the realization and once the new plant which is being set up, once that comes in the volume benefits will kick in also.

That will increase the margin.

And sir in ferroalloys what kind of margin difference is there for domestic versus export? I mean, how much proportion do you have in the whole export or domestic sale? Is there a margin difference?

The margin difference of blended one we are giving out. Different, different specialized states is there and they go in different geographics. We are exporting to 42 countries. We have not disclosed the realization and EBITDA per ton.

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Aditya Jajodia:

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So, if this quarter we made 37,000 kind of EBITDA margins for ferroalloys, what in your view could be the exit EBITDA per ton when we ramp up to 190,000 tons of volume number by the end of this year?

Madam, the guidance which we are giving continuously it is for lending for all the products. Our guidance is for 18% to 20% on the gross turnover of the company. So we have achieved 18.5% of EBITDA margin this particular quarter only. So, we are very close to our guidance. So we are sticking to our guidance, madam.

Okay. Thank you sir.

Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Thank you for the opportunity. My first question is regarding the Jal Jeevan mission. How is the demand for DI pipes from this particular mission and is there any kind of instances where PVC pipes are being increasingly used against DI pipes in this particular scheme?

Yes for the first part of your question about the Jal Jeevan mission still it is not over and there is still the demand is more than the supply. So this will keep on helping us to have a better robust demand in India and your second part of the question can you repeat, please?

Are you saying any kind of instances where PVC pipes are being increasingly used against DI pipes?

No. Not at all. Because plastic and PVC pipes have been done from many centuries. But till now, DI has its own longevity and life cycle, which nowhere any plastic pipe can replace or take care of in the current scenario.

Yes. Understood. And how much of the revenue from DI pipes is from JAL Jeevan mission for us?

It is a blended order. Majorly from JAL Jeevan mission, AMRUT-2 and different state departments. So, we are supplying on a Pan-India basis. So, just from one mission is not possible. We don't maintain like that. But it is on a Pan-India basis, you can say.

Okay. Understood. And did we witness any kind of demand slowness with respect to the elections?

There is a fund issue and some monsoon issue is there. But in terms of demand, demand is always there. It is just some quickness that is the annual phenomena. Nothing to do with this particular year or particular election.

Understood. And with respect to raw material for DI pipes, so you said that we work on order basis. So, is the raw material prices for DI pipes are held on the date of order winning? Or do we hedge it later?

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Management: See, normally what we do, raw material is not secured for DI pipes only.

Raw material is secured for producing the pig iron or the hot metal. So, we are an integrated producer. So, we do not look at it or we do not look at the procurement as a process of DI pipes orders. We are looking at it on the basis like when we are producing steel or hot metal.

So, that is the basis. And like I just mentioned earlier also, that normally we keep a purchase order pipeline of around 4 to 5 months for coking coal and also similarly for iron ore. It is not based on the order of DI. It is always based on the production plan of the hot metal, the entire chain.

Pradeep Rawat: And with respect to captive consumption, so if possible, can you provide in percentage terms, how much of the particular product is captively consumed?

Management: With regard to captive consumption, ferro alloys which we are producing, so to make special ferro alloys, around 30% of the ferro alloys is consumed in-house. And for DI pipeline which we are manufacturing from hot metal, so whatever hot metal is required to produce DI pipe, the hot metal is used for making DI pipes and balance we are selling as presently as pig iron. And in the subsequent months when DI pipe capacity increases, the entire hot metal will go into producing DI pipes.

Moderator: Thank you. The next question is from the line of Koustubh Shah from Wallfort PMS. Please go ahead.

Koustubh Shah: Hi, sir. Thanks for the opportunity and congratulations on the good set of numbers. I had two specific questions. One is that we have been consistently for the last 4-5 quarters giving a INR200 crores plus profit as PAT. So when do we see our credit rating going up? Any thoughts on that?

Aditya Jajodia: We are already approaching the credit rating agency after this Q1 numbers and we expect the ratings to improve based on the numbers.

Koustubh Shah: Okay. And my second question was that once the capacity expansion takes place and the capacities have increased both for DI and ferro alloys, so the current power plant capacity will be sufficient or you intend to add anything to the power plant? But you continue to purchase from outside?

Aditya Jajodia: As of now, we are sticking to the capex which we have already given in the guidance. So whatever power will be required for the enhanced capacity also, we will be sourcing the same from the grid. And as of now, in future, whatever capex we have announced, we are sticking to that only.

Koustubh Shah: Okay, sir. And lastly, my question actually a gentleman already asked, but still on the Jal Jeevan Mission, because we have seen that the other competitors have also ramped up their capacity and they have been also increasing the DI pipe capacity expansion. So will it be a scenario that in one or two years, there will be overcapacity of DI pipes and the realization will get impacted? And anything that you feel that something similar may happen?

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The current capacities are adding up, but still there is a huge backlog of demand in the country. And due to this backlog, already a lot of export orders have been diverted to the domestic business. And still there is a lot of opportunity for the suppliers to export DI as well. And in the near coming years, apart from the Jal Jeevan Mission, there is river linking project, AMRUT-2 and other projects also in line, which will always be there in the next 2-3 years also. And in the future, where the supply and the demand, there will always be a gap.

Okay, sir. Fair enough.

I want to add couple of points. The capacity addition, it has been done by existing players only. For a new player to come in and add capacity, it means setting up a full integrated steel plant, which in itself is a herculean

task. And there is huge capacity involved also. Secondly, the demand which you are right now talking about, the demand is for the new pipes which you are laying, there will be, after 5 years, there will be 5-7 years, 6 years, there is also going to be a replacement demand.

Also there is demand from the local industry. Irrigation has still not been tapped. We are not

exporting much simply because the demand in India is very high. So the existing demand, it is far more than the supply, number one. And in the forthcoming 4-5 years, 6 years, 7 years, we are not seeing any change in that scenario.

Okay, sir. Got it. Thank you so much.

Thank you. The next question is from the line of Dipesh from Manya Finance.

Can you throw some light on the top 5 clients of DI pipes and ferroalloys and what percentage of revenue do these clients contribute?

Top 5 clients for the DI is Megha Engineering NCC in Kalpatru group. The government is also purchasing from Jammu and Kashmir, from Maharashtra, Haryana and West Bengal.

Okay and what percentage of revenues do these clients contribute, the top 5?

Top 5 is like around, it is not a percentage, they are the top 5.

Percentage has to work, we don't have the detail right now. We can come back to you.

Okay, we can come back to you.

This top 5 can come, we in the top, hello? Top 5 changes in the order, right? For example, the top 5 in this quarter, the next one is not even in the top 20, it is not fixed, right?

T just want to understand, approximately how much will it be?

We will give you the number. Mr. Sharma will give it to you.

Sure, T will go to the next question. What is the payback period of the DI pipes and ferroalloy capacity expansion projects? What is the ROE also?

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ROE and ROC of our company as a whole, this is very, very high. As you might have seen, that the ROC and ROE, it is in the excess of 40%-45%. So, this is the return on capital and return on equity. When we are talking about the payback, of these investments, it is very, very quick. But it has to be viewed in conjunction, is that this is a forward integration of the existing facilities, which has already in the past cost of INR1,000 crores.

So, we are not looking at it in the way of ROL RO s very, very fast. It is unrealistically quick.

So, I would not like to mention the number of months. But I think as an analyst, what could we help? It will be of more help. If we look at the ROC and ROE, it is in the excess of 40%.

So, you expect that this ROE will be maintained over the next, not only few quarters, but also few years? Because this ROE is quite high.

Absolutely. Whatever we are doing, whatever the strategy of Jawaharlal Nelru 2.0 is there, it is absolutely focused on ROC and ROE.

And do we have a dividend policy in place?

The issue is that there are certain past issues which need to be addressed as far as the compliances are concerned. However, we are hopeful that within this financial year, we are expecting some dividends from the company.

Okay. And can you give me your guidance for the raw materials, cost of raw materials and the prices going ahead? What is your outlook?

Major raw materials are basically iron ore, coal and cooking coal. And currently, in the current scenario, all three of them are weak and we are expecting the prices for these products will fall down in the coming quarters.

Fall down in the coming quarters. So, you will have better expect, better margins because of that? Or will you even have a price reduction because of that?

See, margin is a separate issue altogether because how commodity prices will play in India is a variable thing. What we can say is that a margin for DI and Ferro, we expect to be maintained.

The commodity margin m

ight vary little bit here and there. But the overall mix in our product portfolio will be very, very low.

I am trying to understand that if there is a reduction of raw material cost, will there also be a reduction? Will we pass it on to the customers or We are going to absorb it in our own margins?

See, like we explained earlier as well, like the contribution of iron ore to our DI pipe, currently

the percentage is less than 15% altogether. So, small changes in the DL in the iron ore prices will not affect the margins drastically. INR1,000 run can be there on the annual basis but not much.

So, what is the maximum component of the raw material? Is it coal?

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The major s cooking coal and coal followed by iron ore.

So, if that increases, the coal prices increases in future or it decreases in future, how much effect will that have on the margins?

See, a lot of our contracts are also linked to the indexes of different raw materials and pig iron as well. And some of them are anhydrite as well. So, what we have seen in the last multiple quarters is that there has been variation in cooking coal prices, right from up to 40% percentage varied.

But more or less, the margins are stabilized because if there is a very steep rise, some amount is passed on to the consumer as well. If there is a very steep fall, little bit is passed on to the consumer. So, either way, the margins are more or less stable because the demand is very robust for DI pipes.

Do you have any coal linkages?

Sorry?

Do you have any coal linkages?

Yes, we have from Coal India.

Directly from Coal India. Okay. Thank you. I'll call back in a minute. Thank you.

Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company.

Please go ahead.

Namaskar, sir. And thank you for the opportunity. Sir, as you were answering to the earlier participants regarding the RM basket, if you could just elaborate, how are the prices currently trending? And I think we must be carrying inventories also. So, if you could just give an color for our DI pipe manufacturing, what kind of - how many months of inventory for coking coal do we carry? And what are the price trends for the first quarter and the month of July?

So, approximately, the inventory for coking coal, which we carry out for 4 to 5 months, including the pipe inventory and for iron also we maintain similar levels of inventory as well.

So, as we are seeing that there is some fall in the prices and the guidance for the future is also seeming to be on the lower side, for iron ore prices.

And regarding coking coal?

Coking coal prices are also on the lower side currently, but the coking coal market is highly volatile. So, we do not like to judge the market on the basis of 1 or 2 month prices. What we see on an annualized basis, the prices might be lower by 5% to 10%, but not a lot.

Sir, can you quantify just for the trend purpose, just to understand the trend in the coking coal prices, if you could give the March average for our benchmark and the June average and the current month prices, just to get a sense of the trend?

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That data I think, we will send you by mail. You can send us a query about that. We will send you a mail the data.

But prices have been trending lower. Q-on-Q average may be lower.

I will explain. Prices have spiked in the month of February and March also. Coking coal is one of the most volatile commodities. Sir, what happens is that in case there is a cyclone in Austr

alia or there is one mine shutting down somewhere in, say, Mozambique or in Australia the prices jump up by 30%-40% means in a week's time. Then things are normalized again they start to come down. So, it is a very volatile market.

So, if anyone is able to predict the coking coal market then only by trading in coking coal people could be billionaires and then I should say, trillionaires. So, it is not easy to predict the market. But the trend is that at this moment of time because of the global steel prices have been really soft. The trend is that logically it should be softening down. Logically. But the logic does not play. But then what happens is that in case there is any scarcity immediately then again it goes up.

But sir, for current order book, we have 4 to 5 months of inventory for both coking coal and iron ore. And when those prices are trending lower this can be a good understanding?

Absolutely, this can be taken. And also one more thing, since coking coal has to be imported into India, we always have to keep an inventory pipeline. Because the transportation time from Australia to India takes around four to six weeks. Then you need some stock at the Australian port, some stocks at the Indian port, some stocks at the plant. So, that inventory pipeline has to be maintained always. Irrespective of the prices.

Yes, that is the reason why I am asking the same question. That means that a very simple question is for DI pipe, are these the sustainable margins? And going ahead, depending on if you could give some colour on the bid pipeline also the demand supply scenario, how are you seeing the realisation for DIP going ahead?

I think you already answered this question a couple of times but again we will answer it. As far as the margins are concerned, whatever guidance you are giving, we are confident of 'maintaining this particular guidance. And as far as the margins are concerned, for maintaining it we are absolutely confident The demand particularly right now is very robust. And even in the forthcoming three to four years, five years, we are not seeing any sort of shortfall in demand. Do you want to add something else on this?

Yes, sir. Sharma ji, I wanted to ask the same question, How are you seeing the realisation right now? Because there is a situation of raw materials. I am completing my point, sir. The point is, since it is a totally I think through APC the end buyer is the government, so what is the bid pipeline that you are seeing in the market right now? Is there a pipe deficiency? Are we in a deficit market in terms of DI pipe requirement that the government has mapped through the various tenders and all? Can that be a good understanding?

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Aditya Jajodia: Can you please repeat the question?

Management: Can you repeat the question, please, about the market?

Saket Kapoor: Yes, sir. The first part is, depending upon the tendering process from the government agencies in terms of the delivery schedules, how are we seeing the DI pipe market currently? Is the demand outstripping the supply? Because there are also some players who are coming up with capacity especially in the western part of the country.

Aditya Jajodia: We have already answered this but I will repeat it. The demand is too much robust and apart from — new supply is coming up. There is nothing to worry on the demand side and on the government tenders all tenders are in place and government spending is in place and we are having our annual tenders directly with the government as well as we are having back-to-back orders from the big EPC companies as well. So we have a healthy order book and we feel the same to have the same in the near future also.

Saket Kapoor: And lastly, sir, what should be the tonnage according to the current fiscal?

Aditya Jajodia: 410 4.5 lakh tons in the current fiscal.

Saket Kapoor:

Aditya Jajo

dia: We will increase the capacity to 6 lakh tons. So that should be the target in FY '26. We will see how the process goes.

Saket Kapoor: And the last point is on the special high-grade ferroalloys which Sharmaji and Adityaji have already mentioned earlier that we command a premium. So if you could give some more colour, how are the price trends there since other commodities have also corrected? So on the realisation front if you could comment something.

Aditya Jajodia: In the price trend, these premium ferroalloys o the special ferroalloys they are normally priced

in accordance with the best ferroalloys. So if the prices of the best ferro alloys will be reducing there will be some reduction in the prices. But then the margin remains the same.

Saket Kapoor: So contribution will be similar only?

Aditya Jajodia: Yes, absolutely.

Saket Kapoor: Thank you. Thanks a lot sir. I will join the queue.

Moderator: Thank you. The next question is from the line of Aditya, an Individual Investor. Please go ahead.

Aditya: Sir, I wanted to ask regarding OPVC Pipes, sir. Sir, all the PVC players like Supreme, Tentrag, Fastgear, are setting up OPVC capacities and they are claiming that this is a product which is cheaper than DI Pipe, it is easier to handle. And also, DI Pipe manufacturers are potentially also entering into this market. So, sir, that our product is going to get disrupted. ..

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You are not clear, please. Can you repeat that? You are not clear.

Sir, my question is that the OPVC players in the market, Action Poly, Supreme, will replace it with OPVC. It is cheaper. It is easier to use. It is just capacity constrained. So, as you are saying that in the next 5-6 years demand supply will be mismatched. But can this new product disrupt our product or not? What is your view on this?

See, saying anything for a different product or a company is not right on my part. As far as DI is concerned, in the United States OPVC is still allowed. It is not even 5% of India's demand or something. And there are a lot of issues on Plastic Pipes. Plastic Pipes may be UPVC, HDPE or OPVC.

Names may change or the quality and things may change. But there are some issues in terms of longevity and the lifecycle of pipes where DI commands our upper hand and the product will be of different market. It will replace HDPE and how it will change plastic business is a different story. But currently, with OPVC, there is not much threat to DI. And there is a big demand coming up. As soon as supply also increases, this demand will be fulfilled. They have their market strategy, commenting on that is not right.

In the long term, what will be the impact on our business?

No. For the long term, different strategies and marketing are right for him to comment on this.

Okay, sir. Thank you.

We are not worried. For us, the demand supply for the next 5 years, 6 years for DI is not an issue.

Okay, sir. Thank you, sir.

Thank you. The next follow-up question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Thank you for the follow-up. Sir, I had a question related to exports. You said that there is a supply deficit in India. There is a good demand for DI Pipes. In the coming time, if the supply of DI Pipes matches the demand or overshoots it, can we see an export market for DI Pipes? Obviously, I am sure the export market for DI from India is viable for other countries and it can be always an option for us to sell in the export market. The product is well acceptable and we have all the approvals and everything. And here, whenever you want, you can do the export 'market penetration in zero hour.

Okay, sir. Sir, is there a major threat of China in the DI Pipes or is there a cost com

petitiveness

there?

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India has a very good cost competitiveness from China as well when you are competing to other countries. And many countries, China is also restricted. Everyone doesn't want to have a Chinese product.

Thank you very much for answering the question. That's all from my side.

Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

We would like to thank everyone for joining the call today. And we have addressed all your inquiries and absolutely to your satisfaction. For any other remaining unanswered questions, please do not hesitate to contact our Investor agency, Go India Advisors. They will be more than happy to help. Thank you once again for your time.

Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Nov 2024

JAI BALAJI INDUSTRIES LIMITED

Ref :JBIL/SE/2024-25

Date : 21% November, 2024

To

The Manager

Listing Department,

National Stock Exchange of India Limited

"EXCHANGE PLAZA", C-1, Block G

Bandra—Kurla Complex, Bandra (E)

Mumbai - 400 051

(Company's Scrip Code: JAIBALAI)

Dear Sir/Madam, To

The Manager,

Dept. of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai — 400 001

(Company's Scrip Code: 532976)

Sub: Transcript of the Earnings Con-Call held on 19" November, 2024

With reference to the captioned subject, please find enclosed the transcript of the Earnings Con-call for Q2FY25 held on November 19, 2024. The transcript is also available on the Company's website at www.jaibalajigroup.com.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Jai Balaji Industries Limited

AP e Ajay Kumar Tania

Company Secretary

Regd. Office : 5, Beniinck

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"Jai Balaji Industries Limited Q2 FY25 Earnings

Conference Call"

November 19, 2024

'% JAI BALAJI INDUSTRIES LIMITED _ Investments Re-defined

MANAGEMENT: MR. ADITYA JAJODIA — CHAIRMAN & MANAGING

MODERATOR: DIRECTOR, JAI BALAJI INDUSTRIES LIMITED

MR. RAJ KUMAR SHARMA — JOINT CFO, JAT BALAJI

INDUSTRIES LIMITED

MR. VIJAY KUMAR BAGRI — PRESIDENT, FINANCE, JAI

BALAJI INDUSTRIES LIMITED

MR. AJAY KUMAR TANTIA — COMPANY SECRETARY,

JAI BALAJI INDUSTRIES LIMITED

MS. SHWETA DIXIT — SYSTEMATIX INSTITUTIONAL

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Moderator:

Shweta Dixit:

Aditya Jajodia: Jai Balaji Industries Limited

November 19, 2024

Ladies and gentlemen, good day and welcome to Jai Balaji Industries Limited Q2 FY25

Tnvestor Conference Call hosted by Systematix Institutional Equities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shweta Dixit from Systematix Institutional Equities.

Thank you and over to you, ma'am.

Good afternoon, everyone. On behalf of Systematix Group, we welcome you to the 2Q FY25 Conference Call of Jai Balaji Industries Limited.

We are joined today by Mr. Aditya Jajodia - Chairman and Managing Director; Mr. Raj Kumar Sharma - Joint CFO; Mr. Vijay Kumar Bagi - President, Finance and Mr. Ajay Kumar Tania - Company Secretary to discuss the company's "Financial and Operational" performance for 2nd Quarter and first half of Fiscal Year '2025.

I would like to thank the Management for giving us an opportunity to host this call. Now, I request Mr. Aditya Jajodia for his "Opening Remarks™". Over to you, sir.

Thank you, Shweta. Very good afternoon to all ladies and gentlemen. We are extremely pleased to welcome you all to our Q2 and H1 FY25 Earnings Concall

Our "Investor Presentation, Press Release and the Financial Results" have already been uploaded on the exchanges and we hope that you have had the opportunity to view it. I am pleased to announce that JBIL has maintained a healthy performance on half yearly basis amongst a very challenging working dynamics.

Our efforts are fully aligned with the objectives outlined in Jai Balaji 2.0 and we are committed to prioritizing value added and specialized products such as DI pipes and specialized ferro alloys. While also working to enhance our balance sheet strength, we are strongly progressing towards our aim to be net term debt free in the next 12 months and are diligently working on capacity expansion of ductile iron pipes and ferro alloys as per the plan. This will lead to increase in revenue contribution of these products from the current 45%-55% to 80% in the near future.

Before discussing the financial and operational performances, I would like to

highlight the

following:

Strategic updates of Q2 and H1 of FY25:

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Firstly, updates on the "Capacity Expansion Plan":

JBIL is expanding its DI pipes capacity from 3 lakh metric tons to 6.6 lakh metric tons. Of this, 1.4 lakh metric tons, the remaining capacity from Phase 1 that is expected to be commissioned in FY25 while the Phase 2 capacity of 2.2 lakh metric tons is expected for commissioning in FY26 receiving a total capacity of 6.6 lakh tons. The ferro alloy capacity will increase from 1.6 lakh metric tons to 1.9 lakh metric tons with client capacity expansion by Q1 FY26.

Additionally, 1 blast furnace has already been revamped and commissioned with the second one expected to be completed by Q1 of FY26 boosting the total capacity from 6.3 lakh metric tons to 7.5 lakh metric tons. And the center capacity was raised to 9 lakhs tons in FY24 and an additional 3 lakh tons is expected to be commissioned in Q1 of FY26, bringing the total to approximately 12 lakh metric tons per annum. Furthermore, the company has also commissioned a 35 TPH blast furnace gas boiler as part of a green energy initiative. This project integrates waste gas utilization from the blast furnace into the captive power plant, reducing carbon emissions and enhancing sustainability. For more information, please refer to slide #13 of the investor presentation.

Updates on the "CAPEX Plan™":

JBIL earlier announced a CAPEX plan of around Rs. 1,000 crores for the capacity expansion plants, which were discussed just now. Out of this, approximately Rs. 700 crores has already been incurred and the balance Rs. 300 crores is expected to be incurred over the next 9 months. All this CAPEX has been done through internal accruals and our guidance for FY24 CAPEX is Rs. 350 crores and in FY25 we have spent around Rs. 200 crores. This is excluding Rs. 8 crores spent on the other repair CAPEXs. The company is also making substantial strides in its net term debt reduction strategy. In H1 FY25, the net debt of Jai Balaji decreased to Rs. 355 crores from Rs. 308 crores as when compared to last year. Since that is associated with Tata Capital Limited and its core lenders and we are optimistic within the next 12 months, we will achieve our goal of becoming a net term debt free company. Our FY25 guidance is to reduce the term debt to Rs. 225-Rs. 250 crores of which we are very optimistic of achieving. When announced the liquidity of the stock, the company has also announced a stock split dividing each equity share value Rs. 10 into 5 equity share with a face value for Rs. 2 each.

Now coming to the "Operational Performance":

For the half year, production of all products showed an increasing trend on a year-on-year basis. The production of ferro alloys and ductile iron pipes increased by 18% and 3% respectively, whereas the sale of ferro alloys and ductile iron pipes dropped marginally. On the realization front, realization for ferro alloys was similar to H1 FY24 and for ductile iron pipes, it increased by 8% whereas for all other products there was a drop-in realizations in the range of 5%-7%. On a quarterly basis, the production of ferro alloys was stable and ductile iron pipes increased by 3%, whereas sales showed a decreasing trend on year-on-year basis. Realizations of ferro alloys and ductile pipes increased by 3% and 7% on a year-on-year basis.

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Aditya Welekar: Jai Balaji Industries Limited

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Coming to the "Financial Performance"

On an half yearly basis, revenue, EBITDA and PBT increased by 8%, 30% and 34% respectively, underscoring the company's commitment to efficient operations and cost management and demonstrating the strength of the company's core business. I am also very happy to share that the adjusted EBITDA margin for

H1 FY25 has been increased to 17%

compared to 14% in H1 FY24. The PAT showed a decline because of the deferred tax provision, which is a non-cash item. On quarterly basis, revenues, EBITDA and PBT increased on year-on-year basis; however, PAT decreased owing to defer tax provisions. There has been a fall in revenue and profitability on Q-on-Q basis on account of fall in production and sales realization of some of the finished products like TMT bars, pig iron and sponge iron. However, the company has been able to maintain its margin in the value added products.

In "Conclusion"™

I would want to say that despite the complexities of the global operating environment and the pressure on the commodity pricing due to the China's macroeconomic trends, our strategic focus on value added products and operational efficiency has enabled us to negate the challenges effectively. We remain committed to leveraging our strengths, to drive sustainable growth and meet the evolving demands of both domestic and international markets. I would also want to highlight that we are very optimistic for the second-half of FY25 and hoping to get better results on the strategic CAPEXs made by the company on its value-added products. We remain very focused on the value chain of the ductile iron pipes and ferro alloys, which will continue to play a very significant role in driving both the company's topline and bottomline growth. We can now open the floor for question and answer. Thank you.

Thank you very much. We will now begin the question and answer session. Our first question comes from Aditya Welekar from Axis Securities. Please go ahead.

1 have three sets of questions. Number one is post our H1 performance, you have indicated the 25%-30% revenue growth guidance and EBITDA margin of 17%-18%. So how do you see H2 FY25 panning out and how confident are you in respect to achieving this guidance for full year?

We are sticking to our guidance because we are expecting increase in the volumes of ductile iron pipes which are the major contributors to our topline and the bottomline. And as we have already said earlier also that we are expecting the share of value added products to go substantially with every sequential quarter.

So next question is on sir, net debt trajectory, you are expecting to be net debt free next 12 months and that is our guidance. So any color on that front, how do you see whether we will be able to achieve that target by end of the year?

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Moderator:

Kirtan Mehta: Jai Balaji Industries Limited

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The total term debt is around Rs. 300-Rs. 350 crores right now. And looking at the EBITDA and the pending CAPEX which is going to be, the pending CAPEX is around Rs. 300 crores and the total term debt pending is Rs. 300 crores. Since the EBITDA is so strong, we are definitely going to be net debt free within next 12 months.

And last question, sir, on the deferred tax provision, which we have taken in this quarter. So what kind of tax number should we estimate for the future quarters?

As far as deferred tax assets, which were in our books, we have consumed it in last 3 quarters and the pending which I think in the third quarter will be consumed is around Rs. 70-Rs. 75 crores. As far as the carry forward losses that we carry, in the opening of the year, we had Rs. 1,000 crores of carry forward tax losses which definitely we are going to consume. As of the update, after the 2nd Quarter is concerned, the pending carry forward losses which is to be consumed with the profits which are going to come in is Rs. 500 crores plus minus 5.

Thank you. Our next question comes from Punit Gupta from YES Securities. Please go ahead.

My question was, could you please shed some light on your expectations for the operational performance of DI pipes and

d ferro alloys for the next half as well as FY26?

So for the volumes of ferro alloy capacities will be added in Q1 of FY26. So for the second-half of the year, we expect the volume of the ferro alloy to remain same. For realization in the specialized ferro alloy division, it will remain at similar levels only, maybe 2% plus minus because of the global markets and the Red Sea situation, it should be similar. Regarding DI we expect the relations to be at similar levels, maybe plus minus 2%-3% rather because we have the order booked for the coming 6 months. Regarding volumes, we expect volumes to increase incrementally on each quarter. So we will target to achieve 4 lakh ton this year and the coming year.

My second question is about any CAPEX plans after the current Rs. 1,000 crores plan is completed in the next 9 months?

Right now, there is no CAPEX plan which we have announced, but definitely we are looking at certain opportunities, but it will take time.

Thank you. Our next question comes from Kirtan Mehta from BOB Capital Markets. Please go ahead.

I had one question in terms of, as We are becoming net debt free over the next 12 months and you mentioned that we are progressing, we would be considering some CAPEX plan, could you just sort of share the areas Where we are considering to expand? What are the things which are currently on the drawing board?

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Aditya Jajodia:

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Aditya Jajodia: Jai Balaji Industries Limited

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See, I think the first part of the question, I think Sharmaai has already answered our plan to be net term debt over the next 12 month. As the current CAPEX plant is only Rs. 300 crores and beyond this, we have not announced any CAPEX plans as such. So we will be having substantial cash. Hence, to repay that debt, so we are on track. Coming to your second question is what is on the drawing board. So what is it doing? It has still not been finalized in the board. It is just on the drawing board. So at this moment of time, it will not be correct for us to announce any without having anything concrete on the table. As and when we are announcing it in the board meeting, we will announce it.

How long would we take to finalize this plan?

It will take some time. It will take more than 3-4 months, 5 months.

So sometime over the next, by year end or probably early next year, we will be announcing these plans?

By the end of the financial year, not earlier than that.

And in terms of there is sort of a market still remains reasonably strong. So would we be also open to sort of access the capital market to raise funds to consider a larger expansion plan?

Well, we look into it. Right now, it has not been discussed over here, with the board. To add one more thing to what Adityaji had said, last 3 years we wanted, the priority was to turn around the company, stabilize the operation, go into value added products in a big way, convert our big iron and the hot metal to ductile iron pipe and go big on ferro alloys. That was the priority and probably 90% we have achieved it. There was some CAPEX also. Out of that 70%, we have already completed, the Rs. 300 crores, roughly around 30% is going to get completed by the first quarter and maybe going into the 2nd Quarter also. So that was the priority, number one. The priority right now in next 3 quarters is to get debt free and then look for expansion plans and all those things.

Thank you. The next question comes from Deepesh Sancheti from Manya Finance. Please go ahead.

Till when do we expect our revenue contributions from DI pipes and ferro alloys to increase to 80% from the current 50%?

Sorry?

Current, it is 50%, right?

Then it should reach to 65% by the end of the current financial year, and then once the second part III of th

e ductile expansion is completed and it is fully operationalized, we will be north of 75, that is broad idea.

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Aditya Jajodia: Jai Balaji Industries Limited

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So, by the end of the next financial year, it will be in the region of 80%.

By Q4 FY26, we expect about 75% of?

75%-80%, yes.

Can you throw some light on, how do you expect the demand to grow for DI pipes and specialized ferro alloy segments because the lives of even JBIL had plans of getting into OPVCs, looking at the reduced demand of DI pipes?

I will answer your question in two parts. Number one is that the demand for ductile pipes, it is robust and we expect it to be robust because not only are we looking at the compression of the JIM scheme, we are also looking at the AMRUT 2.0. And other than that, there are also many more irrigation schemes have been launched. So with the governments focused on infrastructure spending and to developing, as we say, the water network of the country, so the demand for ductile pipe should remain robust. Coming to the other materials, see other materials have always been in the frame like plastic pipe, PVC pipes, NDP pipe, steel pipes, they are always there and they will always be there. So ductile pipe is a very specialized product which is one of the best pipe materials for the transportation of water, because of its quality issues, it is one of the best products, one of the most internationally accepted. So we expect that the demand for the ductile pipes will always be there in the country as long as the development work, it is going on.

And for the specialized ferro alloy segments?

As far as the specialized ferro alloy segment, it is a very niche market. Here, we are already exporting to around 40 countries, but we are one of the only manufacturers in the country to make this product on organized basis. So to reach the market, it is a very tough job. Already, we have done, hard work has already been done over the last 5-7 years and we don't expect that the share of specialized ferro alloys will be jumping by a huge percentage means we will be seeing a share of our whatever volume there, so we are raising a capacity to 1,90,000. So we expect that the growth not going to be exponential, it is going to be very, it is going to be slow and steady, but in steps, but then the growth will be there. So when we talk about the blended EBITDA margin of 18%, 17%, 20% for the next financial year, so when we talk about the blended margin, it is considering all these factors, the pace of the growth and the pace of the volume and the price growth.

Are we planning to export these DI pipes as well as these ferro alloys?

DI pipes, already export market is there. Since the local demand has been very robust, we have (Inaudible) 23.48. Going forward, we have a plan that with the increase in the capacity expansion, here export is negligible. It is less than 5%, it is less than 1%. So we are looking at exporting around 5%. So on the export market, we have not been very active in the export market because the local demand had been very robust and it is very robust. But going forward

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Rajesh Agrawal: Jai Balaji Industries Limited

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with our increasing capacity, we will be looking at exporting around 5% of our production in the export market. We can do more, but our target will be around 5%.

T wanted to have the segmental EBITDA per ton for Q2 FY25 and what are the expectations for the same in second-half of FY25?

For ductile iron pipe, it was Rs. 22,000 per ton, ferro alloy was 25,000, pig iron, it was around.

5,000, TMT was 4,000 and sponge iron 3000. There was a dip in ductile was almost same. Ferro, there was a dip. Pig iron, there was a slight dip and going forward, we expect ductile iron to be at the same level, ferro alloy also same level with the positive buyers; pig iron, there will be an increase of Rs. 1,000. TMT similar increase of approximately expected at 1000 and sponge iron also Rs. 1,000. There has also been reduction in the raw material prices that benefit is also going to accrue in the third quarter and fourth quarter, plus there is going to be a volume increase in ductile pipe and third quarter and fourth quarter that is going to add to the 'margins and the sale price.

So the raw material prices, which has reduced, it has reduced for all the products?

The prices of coking coal compared to the previous few quarters are substantially down. The prices of coal have cooled down and the iron prices are more or less flat, but expectation the global markets as a downward buyers. Only Chrome Ore is going up substantially.

Thank you. The next question comes from Rajesh Agrawal from Moneyore. Please go ahead.

How is the outlook of DI pipes because we have heard from other industry players that government order has slowed down and exports are not feasible because of the freight rates, so what is your comment on that?

Our outlook is extremely positive, the order is slowed down only because the result of this is the monsoon period and also in the post-election period when the government in the recast mode, projects have been announced. Registered question is that after the election there is a process of doing all this, expecting a very robust inquiry and the tendering process will be starting from this quarter itself. And that is why exports are concerned the exports market, it is already there. So, as I mentioned in the earlier question also, you are again repeating the same thing that exports you can increase whenever you want, but currently since the demand of the country is so high, so I would not take much on account of this.

But do you feel the realization will be under pressure domestically?

Realization, there will be a pressure of 4%-5% over the long term because the raw material prices are also coming down. They will be coming down if there is any limits of domestically....

So the old orders which we backed out in that we don't have to reduce the realization?

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Saket Kapoor: Jai Balaji Industries Limited

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No, not for the others.

So you think the outlook will be very bullish and same thing can be used for interlinking or reverse and sewage and all same DI pipes?

Yes, absolutely. So (Inaudible) 30.10, projects which were announced the first project can finalize the details we made so many personal projects will be announced and already the (Inaudible) 30.22 unit is still incomplete and number 2 has already been announced, so the demand will be there.

So we are expecting that order, when, sir in next 2-3 months?

For the interlinking of the products, the order will not come before 6, 7, 8 months because this would require so that will take some time period. The existing already been announced, there are some delays in implementing and the pipeline already so what we are expecting is whatever we are discussing in the selling that much quantity of orders we are basically getting also.

Thank you. The next question comes from Saket Kapoor from Kapoor and Company. Please go ahead.

Sir firstly very fine investor presentation with all facts and whatever are required for us are being very well depicted in the presentation so please continue with this format sir. Sir the question of product wise EBITDA if that also includes this then please do look into th

e various

EBITDA per ton and a compare number QoQ that will suffice that question part also. Sir, if

you could give us some color, what should be the tonnage we are expecting for DI pipe for Q3 and Q4?

The total tonnage envisaged for this particular year it is around 4 lakh tons. In the first 6 months, we have achieved around 1,50,000 tons. Going forward from here, the required run rate is around 35,000 tons per month. So we are very confident that we will be able to achieve this plus minus 10%, but we will be able to achieve.

You are on a bad line. The 4 lakh is what we are emphasizing for this year?

Yes. For the first two quarters, you have already done 1,30,000 and we have also to consider that 2nd Quarter is the monsoon quarter where the production number is already softer. So, from here onwards, we are looking at doing around 40,000 tons per month which will take it to around 4 lakh tons.

And that run rate we have already done for October and we have planned delivery for November also, 50 We are on track for that 40,000 plus?

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The commissioning of the new plant, it is already hot commissioning has been done and the trial has been completed. So that plant has just come into operation just a few days back. So the fruits of that we will be getting. In October, we are not able to do. October, we were able to do say around 30,000 tons approximately, but incrementally in the month of November, we will be around 31,000; in the month of December, it will be increased. So whatever projections we have made, it is on the basis because some of the plants they are getting commissioned in USA. So, as the plant is getting commissioned, the total projections we are giving, it is based on the incremental capacity.

And sir, we have this capital work in progress closing balance of around Rs. 280 crores, 50 what will get capitalized and if you could give the breakup, where are the money we have spent, breakup of Rs. 280 crores?

That is already in the presentation on page #3. I think we have given the entire details over there with the current status, mention every over here in line. I don't think you will not be able to notice. It is already on the page #13.

And, sir, other income component part also, we see this appearing only for the September quarter. Last year, it was Rs. 28 crores and this time it is Rs. 22 crores, so what constitutes this and what is the nature of this other income?

These are general. There is only one other income. This was regarding the railway rakes that we had supplied to railways. Out of that, part compensation has been received that is around Rs. 9.48 crores. And there is further claim, which is pending. Apart from that nothing substantial is there. It is as per the last quarter.

And Adityaji, what is the bid pipeline currently for DI pipe, you did mention about robust demand coming up. How is our pipeline in order booking in DI Pipe. What is the annual requirement of the DI pipe in the country and whatever fresh capacities have come and whatever is in anvil if you can give us the balance of demand and supply?

Our internal team is working is that the demand of ductile iron pipes, this particular year will be in the region of 6-7 million tons and the bid pipeline range with that only. So as I mentioned in the earlier question also, see whatever quantity we are supplying, so we are getting orders every month or more than the quantity. So the bid pipeline, it is extremely robust and even going forward. we are expecting that as the GDP grows in line with that the demand of the pipe will be giving. Also, what we are looking at is very keen because the demand could get a very big boost from the central looking of this project of this reverse. So this is going to be really good

, but so far what has happened is that this project has been announced many years back, but so far we work on the ground, have not started, but now at least we work on the metro project which is a project of around \$7 billion. The work has only started now and DPR has been made. So now, we are putting action on the ground.

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Sir, just to dwell on the same that Ken-Betwa River Linking what is the DI pipe contribution, what should be the percentage of that \$7 billion project? How much value terms?

We are unable to envisage because the DPR has still not been completed. Once it is completed, we will be knowing it there will be other materials also, maybe the steel price also, the plastic price also, so we don't know exactly, but DI pipe will be the major type material which will be there because of the superior quality and because of the economic viability.

And lastly, sir, for Jal Jeevan Mission project, there is a slowdown in the order since they have reached 75% or 80% of their reach or what is the update? And also, sir, we have heard from other players that the fund released from the center has been delayed or there are lower release of funds from the center. State contribution is there, but center participation is not there. So what is your feedback because and sir, for our selling also, sorry to lengthen the question, we are selling directly to the government or to the EPC players, our DI pipe?

So basically three questions. I will answer your third question first. In some cases, we are selling around 25%-30% of the sales, it is directed to the government. The balance is to the EPC contractors who are executing the projects for the government. So by and large, the major buyer of the DI pipes, it is the government sector be it the state government or be it the central government schemes. This is the first part of the question. Now, coming to the second question is that the (Inaudible) 38.36 so fund release in this quarter has been slower, but this again this post-election this phenomena we are seeing not only from the Jal Jeevan Mission scheme, but we are seeing across all these sectors more or less where the money spending has been reduced here and as far as the demand is concerned, demand is robust, but then the funds. Ultimately, this is what we see as a very slick side. What we are seeing is that since the funds have not been released to a great extent after in the last 15 months, actually the government has a budget requirement to meet the expenditure, so over the next 4-5 months, we are expecting very robust spending to be coming.

Thank you. Our next question comes from Pinal Kothari from Systematix. Please go ahead.

Sir, I had just two few questions. Firstly, why did the DI pipe volumes decline in this quarter, like sequentially also and year-on-year also the volumes have declined, so what is the reason for the same?

So, they have not declined, there is no decline, I think there is a mistake.

There is a decline in the production volume?

Ma'am, the decline is only about 2% or 3% which is very.

Yes, sequential 2%.

It is increased. It was 63 now it has become 65 so it has increased.

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In the sales volume, actually from 61 in quarter 1 it has declined to 60. So sequentially by 2% the sales volume has declined?

That is the monsoon quarter because this is the monsoon quarter and in Calcutta, the festive season goes on in this quarter.

And, sir, what is the share of the special grade ferro alloys currently, if you can quantify the

same?

Special grade ferroalloy we are taking it together, we have not given the breakup of that. We are giving it together so the ferroalloy will be 18%-19%.

Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Thank you everyone for joining the call today. We trust that we have addressed all your inquiries to our satisfaction. In case, you have any remaining unanswered questions, please don't hesitate to contact our Investor Relations Agency, Golindia Advisors, they will be there to

assist you further. Thank you once again. We apologies for the disturbance in the audio. Thank you so much, members of the management. On behalf of Systematix Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: May 2025

m JAI BALAJI INDUSTRIES LIMITED

Ref : JBIL/SE/2025-26

Date : 19th May, 2025

To

The Manager

Listing Department,

National Stock Exchange of India Limited

"EXCHANGE PLAZA", C -I, Block G

Bandra-Kurla Complex, Bandra (E)

Mumbai - 400 051

(Company's Scrip Code: JAIBALAJI)To

The Manager,

Dept, of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers

Dalai Street,

Mumbai - 400 001

(Company's Scrip Code: 532976)

Dear Sir/Madam,

Sub: Transcript of the Earnings Con-Call held on 14th May. 2025

With reference to the captioned subject, please find enclosed the transcript of the Earnings Con-call for Q4FY25 held on May 14, 2025. The transcript is also available on the Company's website at www.iaibalajigroup.com.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Jai Balaji Industries Limited

Ajay Kumar Tantia

Company Secretary

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CIN - L27102 WB1 999PLC089755

"Jai Balaji Industries Limited

Q4 & FY ' 25 Earnings Conference Call"

Management : Mr. Aditya Jajodia - Chairman and Managing

Director - Jai Balaji Industries Limited

Mr. Raj Kumar Sharma - Joint Chief Financial

Officer - Jai Balaji Industries Limited

Mr. Vijay Kumar Bagri - President Finance - Jai

Balaji Industries Limited

Mr. Ajay Kumar Tantia - Company Secretary -

Jai Balaji Industries Limited

Moderator : Ms. Shweta Dikshit - Systematix Shares and May 14, 2025

SYSTEMATIX 1 GROUP |

Investments Re-defined

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Jai Balaji GroupJai Balaji Industries Limited

May 14, 2025

Moderator:

Shweta Dikshit:

Aditya Jajodia:Ladies and gentlemen, good day, and welcome to Jai Balaji Industries Limited Q4 & FY '25 Earnings Conference Call, hosted by Systematix Shares and Stocks. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Shweta Dikshit from Systematix Shares and Stocks.

Thank you, and over to you, ma'am.

Good afternoon, everyone. On behalf of Systematix, we welcome you to the fourth quarter FY '25 earnings conference call of Jai Balaji Industries Limited. We are joined today by Mr. Aditya Jajodia, Chairman and Managing Director; Mr. Raj Kumar Sharma, Joint CFO; Mr. Vijay Kumar Bagri, President Finance; and Mr. Ajay Kumar Tantia, Company Secretary, to

discuss the company's financial and operational performance for fourth quarter and FY '25. I would like to thank the management for giving us an opportunity to host this call. Now I request Mr. Aditya Jajodia for his opening remarks. Over to you, sir.

Thank you, Shweta. A very good afternoon to everybody. We are pleased to welcome you all to our Q4 and FY '25 earnings con-call. Our investor presentation and financial results have already been uploaded on the exchanges, and we are -- and we hope that you have the opportunity to review it.

Despite the industry-wide challenges and particularly in an environment where there was a slowdown in the government orders in FY '25, I am pleased to share that Jai Balaji delivered a resilient performance and continues to strengthen its core competencies. Our strategic emphasis on the value-added segments of DI Pipes and Specialized Ferro Alloys remain strong and the steady progress being made to expand the capacities and capacity utilizations in these high-margin areas.

Additionally, the Board has approved a proposal to diversify our product offerings also into other pipes and tube segments also, an initiative which will leverage our existing portfolio and tap into new growth avenues. We are also making consistent headway in reducing our net term debt, further strengthening and enhancing the flexibility of our balance sheet.

Before discussing the financial and operational performance, I would like to highlight the following; strategic updates for Q4 and FY '25. Firstly, the updates on the capacity expansion plans. We are actively delivering on our capacity expansion commitments. In Q4 FY '25, our company successfully commissioned an additional 2.04 lakh tons of Ductile Iron Pipe capacity, increasing the total capacity from 3 lakhs to 5.04 lakhs. A further 96,000 tons is set to be commissioned by FY '26.

Also in Ferro Alloys, the capacity is set to rise from the current 1.66 lakh tons to 1.9 lakh tons within the expansion scheduled for completion in Q1 '27. Capacity of TMT Bars also has been increased from 2.6 lakh tons to 3 lakh tons due to debottlenecking capex.

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Additionally, one of the blast furnaces has already been revamped and commissioned with the second expected to be completed by Q4 of '26, boosting the total hot metal capacity from 6.3 lakh tons to 7.5 lakh metric tons per annum. Also, the sinter capacity of approximately 9 lakh tons is expected to increase to 12 lakh tons by Q4 '26. And for more information, you can please refer to Slide number 13 of the investor presentation.

Secondly, coming to the updates on the capex plan. We are nearing the completion of our INR1,000 crores capital expenditure plan for the capacity expansion. Of this, approximately INR822 crores has already been deployed and with the remaining expected to be made over the next 12 months. The entire capex will be funded through internal accruals, reflecting our strong financial discipline. For FY '26, we have provided a capex guidance of around INR175 crores.

The company continues to make significant progress in executing its net term debt reduction strategy. We have successfully brought down our net term debt from INR871 crores in FY '23 to INR221 crores in FY '25. We are very pleased to share that our net debt-to-EBITDA ratio for FY '25 stands at 0.25 substantially outperforming our earlier guidance of maintaining it around 0.6 as of March 31, 2025.

Coming to the operational performance. For FY '25, production of all the products showed an increasing trend, except for TMT Bars. The production for Ferro Alloys and DI Pipes increased by 8% and 17%, respectively, and sales for Ferro Alloys and DI Pipes increased by 1% and 8%.

On the realization front, realization for almost all the products showed a slight decreasing trend. On a quarterly basis, the production of DI Pipes should stable and Ferro Alloys dropped on a year-on-year basis, where sales for both showed an increasing trend as Q-on-Q and Y-o-Y basis. Realizations showed a decreasing trend.

Coming to the financial performance. On an annual basis, the revenue and EBITDA showed a drop owing to sluggishness in the market. Despite these challenges, I'm happy to share that our gross profit annually stood at around 14%. The margins stood at -- it was 26% -- sorry, I just goofed up my numbers. The gross profit was 36%, the EBITDA was 14%, margins were 33% and the return on equity was around 26%. On a quarterly basis, the revenues increased on a Q-o-Q basis. However, EBITDA and PAT decreased.

In conclusion, as we look ahead into FY '26, we are optimistic about the potential rebound in the government ordering activity. With this encouraging outlook, we are targeting revenue growth of around 25% to 30%, EBITDA margins in the range of 16% to 17% and DI Pipe production surpassing 4 lakh tons.

We remain fully committed to leveraging our core strengths to drive sustainable growth and respond effectively to the evolving needs of both domestic and international markets. Backed by our enhanced capacities and strong financial foundation and an experienced leadership

team, Jai Balaji is very well positioned to create long-term value for all stakeholders. We can now open the floor for questions and answers. Thank you.
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Moderator:

Shlok Bhartiya:

Aditya Jajodia:

Shlok Bhartiya:

Aditya Jajodia:

Shlok Bhartiya:

Aditya Jajodia:

Moderator:

Manav Gogia:

Aditya Jajodia:

Manav Gogia:

Aditya Jajodia:

Manav Gogia: The first question is from the line of Shlok Bhartiya from Svan Investments.

Sir, I just have few questions. Sir, you gave a guidance for FY ' 24 regarding revenue. What's the guidance for FY ' 26 revenue and EBITDA?

We have given a guidance of 25% increase in next year and EBITDA margin of 16% to 17%.

What we have achieved in last year, the current financial -- previous financial year, was 14%.

And sir, the DI Pipes production volume would be less in FY ' 25. Can you please explain the

major reason for this? And are you confident about achieving the target in FY ' 25?

I don't understand what is the question, because the voice is not coming clear. Can you repeat your question?

Sir, in FY ' 25, you missed the DI Pipe production volume, right? So what's your target for FY ' 26? And will you be able to achieve that?

We achieved 2,82,000 in FY ' 25. And as per the internal assessment, we should be able to produce 4 lakh tons of pipe in the next financial year, the current financial year.

The next question is from the line of Manav Gogia from YES Securities Limited. Please go ahead.

Sir the first question is on the Ferro Alloys division, we are currently taking a capacity expansion. If I recall, we were scheduled for this capacity expansion to get completed in early FY26. And now the presentation mentions it adds Q1 FY27. Could you just highlight the reasons behind the same?

Actually, this project was a little bit delayed because of some very critical equipment, which was to be coming from China. So there were some issues at the Chinese supplier's end. So some issues happened over there because it was a -- what we were trying to develop here was slightly innovative and it was one of our path breaking technology. So some changes were required from our end also and at their end also. So this has been delayed a little bit.

Okay. Sure, sir. Sir, just following up on the Ferro Alloy segment. One thing I wanted to know is that our utilization rates are lower than what the current capacity is. And we still continue to take some expansion plans for the segment. So, can you just give me what sort of sustainable capacity utilizations are we targeting for the Ferro Alloy segment?

Since we are making specialized Ferro Alloys, the capacity utilization we expect to be within the same range. It might also go down by a few percentage points as we increase the specialty grades of Ferro Alloys. The value goes up, but the absolute production figures might go down a bit also depending on the value addition.

And sir, just another follow-up question. It was much more on your opening remarks where you mentioned that FY25 saw that there was a temporary slowdown in the government orders. Could you -- give some details on the same and what do you expect how it's shaping up for FY ' 26?

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Aditya Jajodia:

Manav Gogia:

Moderator:

Pujan Shah:

Aditya Jajodia:

Pujan Shah:

Aditya Jajodia:

Moderator:

Pujan Shah:

Aditya Jajodia:

Pujan Shah: See, what had happened in the last year, prior to the elections the government was in a very, I will say, easy spending mode. Post elections, though the same government was in place, but a lot of spending actually on the ground got a little bit constrained and also because of the many social schemes which were floated by many of the state governments, a lot of money as you all know, was diverted to these funds.

So -- because of this, in some sectors the spending actually slowed down. So now what we are expecting is that with the financial year over and with the new budget being announced, so now accordingly the government will be able to take our course of path correction to rectify these things. And the order books should be robust from here onwards.

Got it, sir. Thank you so much. I will join back the queue for more. Thanks.

Thank you. The next question is from the line of Pujan Shah from Molecule Ventures. Please go ahead.

Sir, my first question would be on the industry side. So if you are considering the JJM we have seen that there was a slowdown as you mentioned in your remarks.

We are unable to hear you.

But recently the government also increased the execution for JJM roughly around [inaudible 14:32] crores. So, do you feel any green shoots being happening on the ground right now in Q1 FY26 onwards and that could help us to get a good order book on DI pipes?

You are not audible.

Sorry to interrupt sir, but your voice is breaking. Could you please move to a better reception area, Mr. Shah.

Sir my first question would be on the JJM side. So we know there was a slowdown in the JJM for the last few months and recently the government also increased the budget and the capex for the JJM side. So is that the green shoot been visible or the more on the idea is to understand that the current budget which the government has allocated is sufficient to get revamped in the JJM?

Yes, absolutely because with this budget and if the money is actually spent on the ground, then this is enough money to cover the necessary demand and supply. So actually, what has happened last year also towards the second half of last year, over the last 6 months, the spending slowed down a little bit but now the signal which we have from the market is that from here on -- things will be better.

Okay. Got it, sir. And sir, recently, we have seen that we are foraying into OPVC pipes. Now just wanted to understand as we understand that this is the replacement for the DI Pipes. So just wanted to understand on a broader aspect. So a few quarters back when we had a con-call, the OPVC pipes segment was not been encouraged so much. So what -- what the dynamic has

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Aditya Jajodia:

Pujan Shah:

Aditya Jajodia:

Pujan Shah:

Aditya Jajodia:

Moderator:

Rudraksh Raheja:

Aditya Jajodia: been changed right now and is that the adoption being very strong or how is the situation right now?

I'll explain. See, the stand which we have taken is that OPVC pipes like in India, we have a lot of pipe materials. We have HDPE, we have PVC, we have OPVC, we have LSAW, we have SSAW, we have steel pipes, we have cement pipes, [inaudible 16:57] pipes, we have DI Pipes also. So every pipe has a different application and a different life cycle.

So in DI pipes, we will continue to expand and we will continue to be our main business. This OPVC pipe, this is a new alternate material which has been developed. In all probability, this demand for this has now been tested and this is not going to eat into the demand of ductile pipes.

If at all, it is going to have some market share, it will take something from the steel pipes, mostly from the plastic pipes or the HDPE pipes because the pressure resistance of the OPV pipes it is very low for very high-pressure applications and for high life cycle applications, it will still not be suitable, but the -- us to go into this was that most of the buyers of the ductile iron pipes are the government bodies and also the buyers for the other pipe materials also like OPVC or plastic or steel, etcetera. It is also the government.

So the company saw that it may be an opportune time to enter another segment of pipe also so as to ultimately enter more aggressive products to the customers same set of buyers.

Right. Sir just wanted to understand more on this part. So as you know that there is a constraint in the supply of equipment right now because one of our key supplier, which is a Spain

technology, Spain player is -- they have a supply crunch. So when are you planning to expand this space and what capex we will spend in this area in terms of lines, in terms of MTPA? To be very honest, our current capacity for OPVC is very small. We are starting with initial capex of less than \$2 million and our total capex will not be over INR100 crores across a few years. So it's a very, very small module and the expansion in OPVC is not very, very large. The basic idea was that we have some marketing synergies and we have some loyal customers who want DI as well as some OPVC pipe for the projects. So we're having a basket of products to cater to the customer needs.

Right, sir. So the technology what we have been procured is the domestic, sir, right?

Technology, we will not be comfortable discussing now. So once our production is online and once we enter the market, we'll be able to inform better about that.

The next question is from the line of Rudraksh Raheja: from itthought PMS.

I wanted to ask about which sizes is this OPVC competing with DI pipes? And what percentage of DI pipes market share can be taken by OPVC?

Yes. So the OPVC pipe facility we are putting -- it's just one line that too for small dia. As mentioned earlier, we do not expect OPVC to largely eat into the market share of DI. We

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Rudraksh Raheja:

Aditya Jajodia:

Rudraksh Raheja:

Management:

Rudraksh Raheja:

Aditya Jajodia:

Rudraksh Raheja:

Aditya Jajodia:

Rudraksh Raheja:

Aditya Jajodia:

Rudraksh Raheja:

Aditya Jajodia:

Rudraksh Raheja:expect this to first enter the market as a replacement for the HDP pipes. Obviously, saying that there might be a very small portion of DI replacement, but that is not something which is our target goal. Our goal is to again cater to who want both DI and OPVC.

Got it, sir. And sir, compared to DI pipes, the installation of OPVC cost more or less? And if you could highlight the number for us?

The exact numbers, we are -- not aware of. But the entire life cycle assessment cost, which the government had said was that the steel DI pipes is the cheapest pipe material in India for that pressure application. I answered your question.

Yes, sir, compared to this, if you could highlight how much would be the cost difference?

There is no such comparison because OPVC has a pressure rating of less than 15 kg, whereas the DI pipe pressure rating are more than 50 kgs. So we cannot have a cost comparison directly. Generally, plastic pipe always will be cheaper to the steel pipe, but you cannot have a cost comparison.

And sir, regarding demand of DI pipes in the current market, has government funds started to release?

After the budget, now the funds will be released in a couple of months and the demand has already started coming up and now the discussions also start happening.

Good to hear that, sir. Good to hear that. And sir, what is the profitability EBITDA per ton in DI pipes today? And where do you see this settling once demand revise?

For the last year FY '25, the ductile iron pipe, we had an EBITDA per ton of INR19,000. It has come down slightly. But what we -- we assume over here, and we budget also that this is probably the lowest level, and things should improve from here.

And sir, where would you go this number? Meaning any upside that you see potential that we could attain here?

Upside, if the market is good and say the demand comes back and whatever committed expenditure that the government has announced. If that is spent, it should be somewhere in the region back up to INR23,000, INR24,000, which we had already achieved in FY -- first 2 quarters of this current financial -- previous financial year.

Understood. And sir, what is our capacity utilization in DI pipes at this point of time?

Capacity utilization, just give me a second, I will come back. The last utilization on a weighted average basis was about 90% because the plant was commissioned in the second half. And current year, we are projecting approximately 80%.

Got it. And sir, are we planning to export DI pipes as well like we do with Ferroalloys?

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Aditya Jajodia:

Rudraksh Raheja:

Aditya Jajodia:

Rudraksh Raheja:

Aditya Jajodia:

Moderator:

Radha:

Management:

Radha:

Aditya Jajodia:

Moderator:

Koustubh Shaha:

Aditya Jajodia:Yes, of course, we are also exporting DI Pipes, and we will be expanding further on the export market as we are doing for Ferroalloys?

Understood. Sir, could you throw some light on your raw material prices? And you could let us know average iron ore and coal cost for even FY '25? And how is it trending in this Q1 FY '26?

So our major raw material, as we know, are coking coal and iron ore
Yes, sir.

Prices are more or less flat. They might be different from maybe INR2000 per ton plus or minus on a Q-on-Q basis, but on average, more or less flat. And coking coal prices, we are projecting it to fall by \$10 compared to the previous year.

The next question is from the line of Radha from B&K Securities.

Sir, my question was you mentioned to the previous participant that government is the key customer and the customers now want both DI and OPVC. So just wanted to understand which states are demanding OPVC currently? And in OPVC, how much capacity are you targeting in the next 3 years? And how long will it take for you to set up the capacity?

On these marketing questions, we can answer later, but currently, only a couple of states have already introduced OPVC. And last -- this is also replacement of plastic. And in the near future on the capacity, once we start, we will be ramping up slowly, as you told earlier. So once we can come then -- maybe the next con-call, we will give you the capacity what we're planning ahead.

Secondly, apart from OPVC, are there any other pipes that we are looking into? And if yes, how much are we planning to invest there?

Our major focus will be ductile iron pipes only. As we have told earlier that from current production levels, we are further expanding in this FY '26 by 1 lakh ton. So our installed capacity from 5 lakh tons will be 6 lakh tons in FY '26. So our main focus will be ductile iron pipes only.

The next question is from the line of Koustubh Shaha from Wallfort PMS.

I had one question on the margin front. So basically, if you -- so our Q4 margins have come down. Obviously, the realizations are down and the raw material cost is up. And we are guiding for a 16% still EBITDA, whereas 8% EBITDA is what we have clocked in Q4. So what will change in the ensuing year, which gives us confidence that this will turn around, both on the realization front and the cost front? That is my first question.

If you look at 4 quarters of the last financial year, you'll see the answer will be in front of you only. The prices have come down by INR5,000, INR6,000. And that is only because of the demand being low. Once the demand is back, the prices are going to go back to the same level.

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Koustubh Shaha:

Aditya Jajodia:

Koustubh Shaha:

Aditya Jajodia:

Moderator:

Divesh:

Aditya Jajodia:

Divesh:

Aditya Jajodia:And as we are talking about only quarter 4, the margin has come down to 8%, 9%. It also includes the inventory losses.

When the prices come down, there are inventory losses which also have to be booked in the quarter itself. So it is a cumulative impact of the prices coming down and some of the inventory losses that we had to book.

Okay. Got it, sir. This was helpful. Secondly, on the working capital front, we have seen the working capital increasing in the Q4. So my question is whether it will be at this level only or

we see working capital again coming off? Or was this more of a Q4 phenomenon? I just wanted to understand.

No, once the demand is slightly low and we have continued the production probably at 90% of the same level, the inventory pile up is there. We have orders. Orders are -- have been placed. They have to pick up the quantity and they have to arrange the LC and BGs. We are waiting for that. Once that is completed, the orders will pick up. The inventory build-up is there. It is inspected and it is waiting for delivery.

Okay, great. Yes. And the last question from my side, you mentioned some previous participant regarding the ferro alloy capex being delayed because of the machinery or critical machinery not coming from China. But now whether that problem has been sorted and everything is on track for the capex now?

The problem has been sorted, but the supply chain will take some time to deliver it and we're expecting to start the plant by Q1 of next year.

The next question is from the line of Divesh from Finterest Capital.

Congratulation on a good set of numbers. Sir, my first question is related to the EBITDA margin that you have said about 16% to 17%. So what's the strategy for this -- how will you clock this kind of margins?

The 16% to 17% margins and currently for the last year, it is 15%. And on the higher side, it was 19%, 20% also for some of the quarters. So 16% is not a number which is not achievable. This is the estimation that the management has taken. It will be achieved in the current financial year as we think one quarter here and there.

Okay, sir. Sir, my second question is regarding the receivables and payables. It has been increased and it is affecting our working capital. The working capital has been increased almost by 2x.

To be very frank, what has happened is infrastructure players who are some of our buyers, their payment from the government is also delayed. So that has -- some of the government payments are also delayed and it always happens before the budget and gets resolved once the new budget is in place and the disbursement starts to happen. So this should come down by the end of this quarter.

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Divesh:

Aditya Jajodia:

Divesh:

Aditya Jajodia:

Moderator:

Shweta Dikshit:

Aditya Jajodia:

Shweta Dikshit:

Aditya Jajodia:

Shweta Dikshit:

Aditya Jajodia: Okay, sir. Sir, if you can provide segmental EBITDA per ton for your segment, sir?

I have the yearly numbers in front of me. Sponge Iron was [inaudible 0:33:20] per ton. Pig Iron was INR4,000. Ferro Alloy on a blended basis was INR20,000. Billets/MS ingot was INR2,000. TMT Bar was INR4,000 and Ductile Iron Pipe was INR19,000.

Okay. And sir, my last question is regarding depreciation as our plants are getting commissioned. So what would be the depreciation going forward, sir?

Our current depreciation -- for the last financial, it was INR63 crores -- INR94 crores as compared [inaudible 0:34:04] in FY '23-'24. Once all the plants are commissioned, it can go up to INR105 crores, INR110 crores, an increase of INR10 crores to INR15 crores.

The next question is from the line of Shweta from Systematix Shares and Stocks. Please go ahead.

Sir, a couple of questions. First, relating to the DI Pipe expansion. Could you just verify, we are expanding DI Pipe to 660,000 tons or 6 lakh tons by the end of FY '26?

It is 6 lakhs.

6 lakh. Sir, it was earlier planned to be 660,000 tons.

We have procured 2 of the spinning machines, which are the higher die side and we have finalized it. That's only.

Understood. Sir, second question is on your capital allocation policy going forward, because we are yet concluding our existing capex and our target we've been on track in terms of debt reduction, but there is still residual capex to be done for this DI Pipe expansion as well as Ferro Alloys also stands extended to first quarter FY '27.

So could you just highlight why are we -- as of this point, expanding into OPVC while the existing capex is already going on? And when are we expecting to break ground in terms of the OPVC expansion? Also, what can be your annual capex for the next 2 years? And where are

we looking to -- how are we looking to fund it? And what are our debt targets for the next 2 years?

This was like too many missiles -- too many drones at the same time. It was like swarm of drone attack, too many. Okay. So if I hear you correctly, number one, I will just answer them not one by one, but I think in [inaudible 0:36:27]. The most important thing is that, madam, is that OPVC, it has been given a lot of weightage today, I think in today's call.

OPVC, the investment which we are making is very, very negligible. As we just mentioned, it is around INR25 crores, INR20 crores only. It's a very small investment just to see that what is the potential of this material to replace the plastic, and if at all we can open up a new segment in the near future or not.

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Shweta Dikshit:

Aditya Jajodia:

Shweta Dikshit:

Aditya Jajodia:

Shweta Dikshit:

Aditya Jajodia:

Moderator: If succeed, then probably we will be looking at something next year, if not. And if we see the liability otherwise, we may drop it entirely. As of now, we can consider it to be a very, very trial product for Jai Balaji. So let's not attach -- let us not attach a lot of importance to OPVC at this moment of time, number one.

Number two, regarding the capex plans. The capex plans out of the balance capex plans, it is only INR170 crores, INR180 crores which is now pending. And as we have already declared earlier also, the entire capex that has been funded are internal accruals only. So you must have seen in our cash flow statement that whatever cash flow we generated last year, so out of that, after repayment of the term loans, whatever remained, 50% of it went into enhancement of working capital, 50% of it went to new expansion in terms of capex.

This year, the capex figure is low so the majority of the money will be going towards -- firstly towards the repayment of the debt. The second will be complete the capex. And also wherever it is required, we will be enhancing the working capital also to improve the profitability. I think I answered your questions or is there anything else to be answered on this?

So out of the INR170 crores, INR180 crores capex, this majority of it is likely to come this year itself, that is FY '26?

Majority will come this year only.

Okay. And debt will -- I mean, what's your target net debt number now?

The remaining repayable debt is only INR221 crores. The capex is INR175 crores. That adds up to INR350 crores, INR375 crores. So that we will phase it as per the cash flow available. Second, what has also happened here working capital has -- the inventory and the debtors has absorbed a lot of -- surplus requirement was there and they have absorbed some of the cash. Once that is released, it will be available.

Understood, sir. Thank you so much for the detailed answer.

You must have seen the historical numbers. Last year, we did a cash flow EBITDA income of INR800-odd crores. Out of that INR350 crores has been spent in debt repayment, plus/minus INR5 crores. INR350 crores has been spent in capex and balance INR100 crores is for working capital increase. The same thing is going to happen. We have a debt of INR221 crores. Out of that, approximately INR175 crores will be paid in the current financial year and the balance in next financial year.

As far as capex is concerned, it will be INR175 crores, even if we have to do the entire capex. So that both adds up to INR350 crores. Last year and previous to that year, we have done a cash flow EBITDA of approximately INR850 crores of average. I think that answers your question.

The next question is from the line of Saket Kapoor from Kapoor & Co.

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Saket Kapoor:

Management:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia: Sir, firstly, as you alluded to the fact that a lot of -- time has been spent on OPV. So sir, if you could just give firstly on the DIP landscape currently, sir, what is the current capacity in India, currently taking the entire geography, North, South, East, West and utilization levels for the industry? And the new capacity that we are anticipating for the current 2 financial years? If

you could give us the thought process firstly on that?

Currently, the India capacities in the last 2 years have been the same, output has been the same. Some additions were there. But due to the fund scarcity, they couldn't materialize in terms of output. And seeing the current numbers and the current requirement of funds and everything, I doubt any further expansion is going to happen in the near future. So only the existing players which are there will be doing the work. No new players are expected soon. As we mentioned in the last con-call to you only Mr. Saket you asked the same question, as I remember to put up a new capacity of DI plant would mean a very huge capex. It takes a lot of time. It is a very time consuming process of 3 years, 2 years at least possibly to 5 years. And also it requires a huge capex. So it is not that somebody would imagine that the addition has to be done today and it will be done in 6 month to 1 years.

The existing players who are able to do the brownfield, who have the plants, are able to do it. Apart from that, no one has a special plan and it is not going to come immediately. What is happening is that in the immediate future, we are not foreseeing any new players entering into the market.

And the existing players also, whatever they are announced, whatever in the way of being added that will be added. As far as we look at it, what you asked in the next 2 years, probably another capacity addition of, say, around 12 lakh tons to 15 lakh tons will be added at most over the next 2 to 3 years.

Okay. And sir, as you also mentioned that there was some slackening of order -- slacking of response from the government side in terms of order tendering and release of fund. So post the budget and the new financial year, how -- have we received any further new orders in any of the schemes? And what are -- how are the realizations currently shaping up in terms of the raw material prices being softened? How have the price trends been for the DI pipe sales realization?

See, in terms of new orders, the new orders, most of the orders they are in the pipeline and all the parties are ready to place the orders. They are also realizing that it is a very good time to place the order. But what has happened is that for the last 3, 4 months, the fund flow to these particular projects and to the infrastructure contractor, it has been actually very slow.

You might have seen that even in Maharashtra you must have read in the papers only -- I mean just for example, is that the Maharashtra Government, it is withholding contractors payments, whether be it in pipe projects or whether be it in water projects or whether it be road or whatever.

So there has been a slowdown of government spending a little bit. But now with -- after the budget, now we are expecting that in the month of May and June, things will be normalized

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Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Management:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:from here onwards. So with that, the order flow should be more than normal because the last 3, 4 months, order booking has been slack. So from here, it should be picking up.

In terms of realization because of this slow inflow of orders, naturally the realizations at this moment of time, prices have come down to a slightly lower level, which we feel is that we are very close to the bottom. And as soon as the funds are released and the demand gets released, prices -- it should come up.

But the advantage which we have is that we are a very low-cost producer, so the drop in prices by 3%, 4%, 5% does not bother us much. This is something which always factored when we are considering the average margin. We have not taken a very aggressive margin projection.

Okay. So you are -- for the new orders where we are tendering, we are seeing a 4% to 5% lower bid than what the average had been earlier. This is what the understanding should be? By and large. Somewhere 4%, 5%, somewhere 6%, that's it.

Okay. Now sir, coming to some of the questions for the financial part. Firstly, sir, on the tax front, we are only paying closer to INR4 crores in terms of the direct taxes as the cash flow speaks. So if you could just explain to us the current advantage we have and when we will be paying the max taxes and some clarity on the same?

As far as cash flow, the tax is concerned, we started the last financial year with INR1,000 crores carry-forward tax losses. Out of that, INR750 crores, INR800 crores has been consumed. And still we have started this current financial year with a carry forward tax loss of INR250 crores. After the profitability of INR250 crores, we will be in normal taxation.

Right, sir. And lastly, on the capacity addition. So for this financial year, sir, we are expecting

tonnage closer to 4 lakh tons for the DI pipe on a capacity of 5 lakh. This is what you have guided?

There also, what we are trying to say is we have announced a conservative number and we'll see how the market moves in next 2 quarters, 3 quarters. We'll be meeting every quarter. If there is any adjustment to be made to that number, we'll definitely make it.

Okay. Sir, and last point, one of the players in the industry in the earlier call was also alluding to the fact of coming up with HAM type of projects where equity would be there for the companies who will be participating in the DI pipe procurement part. So have we heard anything in the new tendering process wherein the center share is going down and the HAM type of story which is there in the road and also to be replicated in the DI pipe model also, sir? Any color you want to give on the same?

This is something new to us, but the HAM is a very long story has been discussing over the past many years of many departments and tendering bodies. But till now in India, this HAM is not a successful model yet. And I doubt that any of the competitors and the producers would be likely to go ahead with the HAM scheme.

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Saket Kapoor:

Management:

Operator:

Pujan Shah:

Management:And lastly, sir, so much has been spoken about the government finances strain and diversion of funds towards other 'non-productive activities' if I may use so. Sir, do you think that the best of the time for this Jal Shakti, Jal Jeevan scheme or the interlinking, which is not even the strategy of not get, the best time is back for us?

And now sir, SGA scheme benefit to get to the players is -- forward. Is the best of time for the DI pipes in terms of margins, in terms of the availability of orders, is behind, or now things may look better from here? And also, on the interlinking of river part of the story, if you could just share your thoughts in terms of the Ken-Betwa project and the others, which we can see in the website of The Government of India. So where are things in these 2 aspects, sir, if you could just clarify?

As you have rightly said that there is a lot of scope coming up in the last 6 months, work has done in the entire country. So, on a Pan-India basis, people know that the government knew that the JJM is not going to end soon. This is the reason JJM has been extended in 2028. And if the state funds are released from the center, the equivalent funds will be released from the states as well.

There are a few major states where about 40% of tap corrections are still pending. And apart from JJM, as you have said, interlinking projects, Ken-Betwa backup projects have already started procuring pipes, and orders have been placed to the contractors, and further procurement of pipes will happen soon.

Apart from the interlinking of rivers, there is also AMRUT 2, where there will be further funds coming up in this budget. INR10,000 crores have already been allocated in the AMRUT scheme. And irrigation is one major part where you'll be seeing demand coming for DI pipes. We are also working ahead to work on the power and the industrial belt, where you'll see that DI pipes will be further used in the power industry and the industrial part as well, but there's a lot of scope left which can be explored.

The next question is from the line of Pujan Shah from Molecule Ventures. Please go ahead.

So, if we wanted to break the DI industry into 2 parts, so let's suppose if the industry is under 400 mm versus above 400. So, can you give us the actual size of -- and the market -- the segment or market is growing between both the things?

This is a detailed question. As per the general mix, which has happened in the past year, it is going to happen the same way. There are different areas where you have the rivers coming to the main segment, the bigger pipes or smaller pipes. So, the ratio remains the same. It is on the projects and different sites where the demand is coming up.

So, we can give you a detailed answer once you mail us your particular query, so you can give a answer later. But there are tonnage, there are meters that cannot be given across the call. So, we can give a detailed answer later. So there are tunnels, there are meters, cannot give you across the call. So, you can give me a detailed question we'll answer your query.

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Pujan Shah:

Management:

Moderator:

Saket Kapoor:

Management:

Saket Kapoor:

Management:

Saket Kapoor:

Management:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia:

Saket Kapoor:

Aditya Jajodia: Sure, sir. Done. So, just wanted to understand a broader aspect is that, that ratio would remain at 50%-50% considering the last year's tendering?

It cannot be commented. Marketing, it's a very typical marketing question. Our business development team will sit with you and give you the -- actual answer.

The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Yes, sir. Sir, if you could give us some color on the order book currently, the pending order book for DIP, and our expected tonnage for the ensuing quarter, sir?

The current order book in hand, we have already 145,000 tonnes order in hand. As they have given you an annual target of 4 lakh tonnes, so we are reaching that. And then as soon as the funds are released from the government, the capacity and the output will be increased on a month-on-month basis.

Okay. And you also confirmed that for the first 45 days of this current financial year, we haven't bagged any fresh orders in DIP, the order booking?

Yes, yes, we have done order booking for the first 35 days also.

So, in that case, the pricing is 5% to 6% normal -- lower than the previous quarter. That is what you were questioning? Or if you could give us some color how the pricing has been for this current financial year.

Just wait for the quarter, 35 days orders have come. We can't disclose the exact price at which we have taken the orders. But on a quarter-to-quarter basis, the 5% to 6%, there's a reduction of prices. And don't worry, whatever projections we have done, this is a conservative figure on a year-on-year basis. So, the prices are already at the bottom level, this will improve as the funds come up and further production are increased.

Correct, sir. Sir, on a Q-on-Q basis, when we look at our financials, we find the other expenses have moved up from INR298 crores to INR331 crores line item other expenses. Can you explain the -- this reason? And when we compare Q-on-Q, any one-off items we have, that we need to factor?

That we have to go in detail. I will not be able to give you the answer right now because I don't have the exact breakup in front of me.

Okay. Then I'll take offline and speak to the team.

By tomorrow morning, I'll be happy to answer.

I'll take it forward, sir. And thank you once again for the elaborate discussion, and we hope that things do start tending towards better for industry going ahead.

Thank you.

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Saket Kapoor:

Aditya Jajodia:

Operator:

Aditya Jajodia:

Operator: Thank you, sir, and all the best. Namaskar, sir.

Thank you.

Thank you very much. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Thank you, everyone, for joining the call today. We trust that we have addressed all your inquiries to your satisfaction. In case you have any remaining unanswered questions, please don't hesitate to contact our Investor Relations agency Go India Advisors. They will be more than happy to assist you further. Thank you.

On behalf of Jai Balaji Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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